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COMMERCIAL INSURANCE

A Custom Insurance Policy Prepared for:

TOWN OF CORNELIUS
P O BOX 399
21445 CATAWBA AVENUE
CORNELIUS NC 28031

Presented by: SURRY INSURANCE

COINSURANCE CONTRACT

TRAVELERS CORP. TEL: 1-800-328-2189
COMMERCIAL INLAND MARINE
COMMON POLICY DECLARATIONS
ISSUE DATE: 08/08/25
POLICY NUMBER: QT-660-7J681955-TIL-25

INSURING COMPANY:
TRAVELERS PROPERTY CASUALTY COMPANY OF AMERICA

1. NAMED INSURED AND MAILING ADDRESS:

TOWN OF CORNELIUS
P O BOX 399
21445 CATAWBA AVENUE
CORNELIUS, NC 28031

2. POLICY PERIOD: From 07/01/25 to 07/01/26 12:01 A.M. Standard Time at
your mailing address.

3. LOCATIONS

Premises	Bldg.		
Loc. No.	No.	Occupancy	Address

SEE IL T0 03

4. COVERAGE PARTS FORMING PART OF THIS POLICY AND INSURING COMPANIES:
COMMERCIAL INLAND MARINE COV PART DECLARATIONS CM T0 01 07 86 TIL

5. NUMBERS OF FORMS AND ENDORSEMENTS

FORMING A PART OF THIS POLICY: SEE IL T8 01 10 93

6. SUPPLEMENTAL POLICIES: Each of the following is a separate policy
containing its complete provisions:

Policy	Policy No.	Insuring Company
--------	------------	------------------

7. PREMIUM SUMMARY:

Provisional Premium	\$ 13,275
Due at Inception	\$ 13,275
Due at Each	\$

NAME AND ADDRESS OF AGENT OR BROKER:

SURRY INSURANCE (TH709)
PO BOX 128
DOBSON, NC 27017

COUNTERSIGNED BY:

Authorized Representative

DATE: _____

POLICY NUMBER: QT-660-7J681955-TIL-25

EFFECTIVE DATE: 07-01-25

ISSUE DATE: 08-08-25

LISTING OF FORMS, ENDORSEMENTS AND SCHEDULE NUMBERS

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INLAND MARINE

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CM B0 70 02 18	FINE ART & COLLECTIBLES COV LOC SCHED
CM B0 72 02 18	MISC PROPERTY COVERAGE FORM DEC
CM B0 96 01 21	CONTRACTORS EQUIPMENT COVERAGE FORM DEC
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CM T7 56 01 16	EARTH MVMNT LIMIT-DESCRIBED PROP OR LOCS
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CM 01 03 06 23	NORTH CAROLINA CHANGES

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IL T0 63 07 22	ACTUAL CASH VALUE
IL T4 05 05 19	DESIG PERSON, ORG-NOTICE PROVIDED BY US
IL T4 12 03 15	AMNDT COMMON POLICY COND-PROHIBITED COVG
IL T4 14 01 21	CAP ON LOSSES FROM CERT ACTS OF TERRORIS
IL T4 27 06 19	ADDITIONAL BENEFITS
IL T3 82 05 13	EXCL OF LOSS DUE TO VIRUS OR BACTERIA

POLICY NUMBER: QT-660-7J681955-TIL-25

EFFECTIVE DATE: 07-01-25

ISSUE DATE: 08-08-25

INTERLINE ENDORSEMENTS (CONTINUED)

IL 02 69 09 08	NC CHANGES - CANCELLATION AND NONRENEWAL
IL T3 55 05 13	EXCLUSION OF CERTAIN COMPUTER LOSSES

COMMON POLICY CONDITIONS

All Coverage Parts included in this policy are subject to the following conditions:

A. Cancellation

1. The first Named Insured shown in the Declarations may cancel this policy by mailing or delivering to us advance written notice of cancellation.
2. We may cancel this policy or any Coverage Part by mailing or delivering to the first Named Insured written notice of cancellation at least:
 - a. 10 days before the effective date of cancellation if we cancel for nonpayment of premium; or
 - b. 30 days before the effective date of cancellation if we cancel for any other reason.
3. We will mail or deliver our notice to the first Named Insured's last mailing address known to us.
4. Notice of cancellation will state the effective date of cancellation. If the policy is cancelled, that date will become the end of the policy period. If a Coverage Part is cancelled, that date will become the end of the policy period as respects that Coverage Part only.
5. If this policy or any Coverage Part is cancelled, we will send the first Named Insured any premium refund due. If we cancel, the refund will be pro rata. If the first Named Insured cancels, the refund may be less than pro rata. The cancellation will be effective even if we have not made or offered a refund.
6. If notice is mailed, proof of mailing will be sufficient proof of notice.

B. Changes

This policy contains all the agreements between you and us concerning the insurance afforded. The first Named Insured shown in the Declarations is authorized to make changes in the terms of this policy with our consent. This policy's terms can be amended or waived only by endorsement issued by us as part of this policy.

C. Examination Of Your Books And Records

We may examine and audit your books and records as they relate to this policy at any time

during the policy period and up to three years afterward.

D. Inspections And Surveys

1. We have the right to:
 - a. Make inspections and surveys at any time;
 - b. Give you reports on the conditions we find; and
 - c. Recommend changes.
2. We are not obligated to make any inspections, surveys, reports or recommendations and any such actions we do undertake relate only to insurability and the premiums to be charged. We do not make safety inspections. We do not undertake to perform the duty of any person or organization to provide for the health or safety of workers or the public. And we do not warrant that conditions:
 - a. Are safe or healthful; or
 - b. Comply with laws, regulations, codes or standards.
3. Paragraphs 1. and 2. of this condition apply not only to us, but also to any rating, advisory, rate service or similar organization which makes insurance inspections, surveys, reports or recommendations.
4. Paragraph 2. of this condition does not apply to any inspections, surveys, reports or recommendations we may make relative to certification, under state or municipal statutes, ordinances or regulations, of boilers, pressure vessels or elevators.

E. Premiums

1. The first Named Insured shown in the Declarations:
 - a. Is responsible for the payment of all premiums; and
 - b. Will be the payee for any return premiums we pay.
2. We compute all premiums for this policy in accordance with our rules, rates, rating plans, premiums and minimum premiums. The premium shown in the Declarations was computed based on rates and rules in effect at

the time the policy was issued. On each renewal continuation or anniversary of the effective date of this policy, we will compute the premium in accordance with our rates and rules then in effect.

F. Transfer Of Your Rights And Duties Under This Policy

Your rights and duties under this policy may not be transferred without our written consent except in the case of death of an individual named insured.

If you die, your rights and duties will be transferred to your legal representative but only while

acting within the scope of duties as your legal representative. Until your legal representative is appointed, anyone having proper temporary custody of your property will have your rights and duties but only with respect to that property.

G. Equipment Breakdown Equivalent to Boiler and Machinery

On the Common Policy Declarations, the term Equipment Breakdown is understood to mean and include Boiler and Machinery and the term Boiler and Machinery is understood to mean and include Equipment Breakdown.

This policy consists of the Common Policy Declarations and the Coverage Parts and endorsements listed in that declarations form.

In return for payment of the premium, we agree with the Named Insured to provide the insurance afforded by a Coverage Part forming part of this policy. That insurance will be provided by the company indicated as insuring company in the Common Policy Declarations by the abbreviation of its name opposite that Coverage Part.

One of the companies listed below (each a stock company) has executed this policy, and this policy is countersigned by the officers listed below:

The Travelers Indemnity Company (IND)

The Phoenix Insurance Company (PHX)

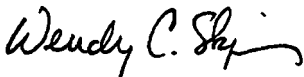
The Charter Oak Fire Insurance Company (COF)

Travelers Property Casualty Company of America (TIL)

The Travelers Indemnity Company of Connecticut (TCT)

The Travelers Indemnity Company of America (TIA)

Travelers Casualty Insurance Company of America (ACJ)



Secretary



President

LOCATION SCHEDULE

POLICY NUMBER: QT-660-7J681955-TIL-25

This Schedule of Locations and Buildings applies to the Common Policy Declarations for the period
07-01-25 to 07-01-26 .

Loc. No.	Bldg. No.	Address	Occupancy
2	2	21445 CATAWBA AVE. CORNELIUS, NC 28031	TOWN HALL
3	3	19725 OAK ST. CORNELIUS, NC 28031	ART CENTER

COMMERCIAL INLAND MARINE



COMMERCIAL INLAND MARINE

**COMMERCIAL INLAND MARINE
COVERAGE PART DECLARATIONS**
POLICY NUMBER: QT-660-7J681955-TIL-25
ISSUE DATE: 08-08-25

INSURING COMPANY:
TRAVELERS PROPERTY CASUALTY COMPANY OF AMERICA
DECLARATIONS PERIOD: From 07-01-25 to 07-01-26 12:01 A.M. Standard Time at your mailing address shown in the Common Policy Declarations.

The Commercial Inland Marine Coverage Part consists of these Declarations, the Commercial Inland Marine Conditions Form and the Coverage Forms shown below.

FINE ART AND COLLECTIBLES COVERAGE FORM
I. COVERAGE AND LIMITS OF INSURANCE
A. Covered Property

Covered Property consists of the following when indicated by an "X" below:

1. ☐ Scheduled Items:

- ☐ As shown on the Fine Art And Collectibles Item Schedule, which includes the Limit Of Insurance applying to each scheduled item.
- ☐ As shown on the most current schedule on file with us. The amount shown on such schedule for each item is the Limit Of Insurance applying to that item.

Total Limit Of Insurance For All Scheduled Items: \$

2. ☒ Blanket Items:

- a. Total Limit Of Insurance For All Unlisted Items: \$ 1,000,000
- b. Limit Of Insurance For Any One Unlisted Item: \$ 1,000,000
- c. Description Of Unlisted Items: **Description Of Items Is Non-Owned Art Exhibits On Display By Insured**

3. Total Limit Of Insurance For Scheduled And Blanket Items: \$ 1,000,000

B. Coverage Extensions:
Limits of Insurance

- | | |
|--------------------------------------|------------|
| 1. Fire Protective Systems: | \$ 75,000 |
| 2. Library And Reference Material: | \$ 250,000 |
| 3. Newly Acquired Property: | \$ 500,000 |
| 4. Preservation Of Property Expense: | \$ 5,000 |

C. Additional Coverages:

- | | |
|--|------------|
| 1. Claim Data Expense: | \$ 5,000 |
| 2. Conservation Coverage: | \$ 5,000 |
| 3. Debris Removal Increased Limit: | \$ 75,000 |
| 4. Display Cases And Shipping Containers: | \$ 10,000 |
| 5. Fire Or Police Department Service Charge: | \$ 25,000 |
| 6. Pollutant Cleanup And Removal: | \$ 25,000 |
| 7. Reward Coverage: | \$ 100,000 |

COMMERCIAL INLAND MARINE

II. DEDUCTIBLE

A. Deductible applying to all covered loss or damage unless a more specific Deductible for the covered loss or damage is shown in B. below or elsewhere in this policy: \$ 1,000

B. Deductible applying to covered loss or damage caused by or resulting from Flood or Earthquake when indicated by an 'X' below:

☒ Flood Deductible:	\$ 25,000	or	% subject to	
	\$	minimum and	\$	maximum
☐ Earthquake Deductible:	\$	or	% subject to	
	\$	minimum and	\$	maximum

III. PREMIUM

Premium: \$ 1,470

Minimum Earned Premium: \$ NOT APPLICABLE

NUMBERS OF FORMS, SCHEDULES AND ENDORSEMENTS FORMING PART OF THIS COVERAGE PART ARE ATTACHED AS A SEPARATE LISTING.

FINE ART AND COLLECTIBLES COVERAGE**POLICY NUMBER:** QT-660-7J681955-TIL-25**ISSUE DATE:** 08-08-25**LOCATION SCHEDULE**

This Schedule lists the location(s) where "fine art" and "collectibles" are principally located.

**21445 CATAWBA AVE.
CORNELIUS NC 28031**

**COMMERCIAL INLAND MARINE
COVERAGE PART DECLARATIONS****POLICY NUMBER: QT-660-7J681955-TIL-25
ISSUE DATE: 08-08-25****INSURING COMPANY:****TRAVELERS PROPERTY CASUALTY COMPANY OF AMERICA****DECLARATIONS PERIOD:** From 07-01-25 to 07-01-26 12:01 A.M. Standard Time at your mailing address shown in the Common Policy Declarations.

The Commercial Inland Marine Coverage Part consists of these Declarations, the Commercial Inland Marine Conditions Form and the Coverage Forms shown below.

MISCELLANEOUS PROPERTY COVERAGE FORM**I. COVERAGE AND LIMITS OF INSURANCE****A. Covered Property**

Covered Property consists of the following when indicated by an 'X' below:

1. ☒ Scheduled Items:

- ☐ As shown on the Miscellaneous Property Item Schedule, which includes the Limit Of Insurance applying to each listed item.
- ☒ As shown on the most current schedule on file with us. The amount shown on such schedule for each item is the Limit Of Insurance applying to that item.

Total Limit Of Insurance For All Scheduled Items: \$ 2,051,884

2. ☐ Blanket Items:

- a. Total Limit Of Insurance For All Unlisted Items: \$
- b. Limit Of Insurance For Any One Unlisted Item: \$
- c. Description Of Unlisted Items:

3. Total Limit Of Insurance For Scheduled And Blanket Items: \$ 2,051,884**B. Coverage Extensions:****Limits of Insurance**

1. Fire Protective Systems: \$ 75,000
2. Newly Acquired Property: \$ 25,000
3. Preservation Of Property Expense: \$ 5,000
4. Valuable Papers And Records: \$ 50,000

C. Additional Coverages:

1. Claim Data Expense: \$ 5,000
2. Debris Removal Increased Limit: \$ 75,000
3. Fire Or Police Department Service Charge: \$ 25,000
4. Pollutant Cleanup And Removal: \$ 25,000
5. Reward Coverage: \$ 2,500

II. Deductible

- A.** Deductible applying to all covered loss or damage unless a more specific Deductible for the covered loss or damage is shown in B. below or elsewhere in this policy:

\$ 1,000

- B.** Deductible applying to covered loss or damage caused by or resulting from Flood or Earthquake when indicated by an 'X' below:

☒ Flood Deductible:	\$ 25,000	or	% subject to
		\$	minimum and
		\$	maximum
☐ Earthquake Deductible:	\$	or	% subject to
		\$	minimum and
		\$	maximum

III. Optional Replacement Cost Valuation applies when indicated by an 'X' below:

- ☐ Replacement Cost

IV. Optional Agreed Value Valuation applies when indicated by an 'X' below:

- ☐ Agreed Value

V. Coinsurance

The following coinsurance applies when indicated by an 'X':

- ☐ 100% ☐ 90% ☒ 80% ☐ No Coinsurance Applies

VI. Premium:

Premium: \$ 8,895

Minimum Earned Premium: \$ NOT APPLICABLE

NUMBERS OF FORMS, SCHEDULES AND ENDORSEMENTS FORMING PART OF THIS COVERAGE PART ARE ATTACHED AS A SEPARATE LISTING.



One Tower Square, Hartford, Connecticut 06183

**COMMERCIAL INLAND MARINE
COVERAGE PART DECLARATIONS**

**POLICY NUMBER: QT-660-7J681955-TIL-25
ISSUE DATE: 08-08-25**

INSURING COMPANY: TRAVELERS PROPERTY CASUALTY COMPANY OF AMERICA

DECLARATIONS PERIOD: From 07-01-25 to 07-01-26 12:01 A.M. Standard Time at your mailing address shown in the Common Policy Declarations.

The Commercial Inland Marine Coverage Part consists of these Declarations, the Commercial Inland Marine Conditions Form and the Coverage Forms shown below.

CONTRACTORS EQUIPMENT COVERAGE FORM

I. COVERAGE AND LIMITS OF INSURANCE

A. Covered Property

Covered Property consists of the following indicated by an 'X':

1. ☒ **Scheduled Equipment:**

☐ As shown on the Contractors Equipment Item Schedule, which includes the Limit of Insurance applying to each listed item of equipment.

☒ As shown on the most current schedule on file with us. The amount shown on such schedule for each item of equipment is the Limit of Insurance applying to that item.

Total Limit Of Insurance For All Scheduled Equipment: \$ 531,283

2. ☐ **Unscheduled Owned Equipment**

Total Limit Of Insurance For All Unscheduled Owned Equipment: \$

Limit Of Insurance For Any One Unscheduled Owned Item Of Equipment: \$

3. ☒ **Unscheduled Equipment Owned By Others**

Limit Of Insurance For Any One Unscheduled Item Of Equipment

Leased, Rented Or Borrowed From Others: \$ 50,000

4. ☐ **Equipment While Leased, Rented Or Loaned To Others**

Limit Of Insurance For Any One Item Of Equipment

Leased, Rented Or Loaned To Others: \$

**B. Total Limit Of Insurance For All Items Of Equipment
In Any One Occurrence:**

\$ 581,283

II. DEDUCTIBLE

Deductible applying to all covered loss or damage indicated by an 'X' below unless a more specific Deductible for the covered loss or damage is shown elsewhere in this policy:

☒ Dollar Deductible: \$ 1,000

☐ Percent Deductible: % subject to \$ minimum and \$ maximum

III. VALUATION AND COINSURANCE

A. Valuation

The following Valuation applies to the applicable Covered Property:

1. **Scheduled Equipment**

Actual Cash Value Valuation applies unless replaced by the Optional Valuation indicated by an 'X'.

☐ Replacement Cost

☐ Agreed Value

☐ Valuation Determined By Age Of The Equipment – Number of Years:

CM T0 01 07 86

Order # CM B0 96 01 21

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TH709

OFFICE: CHARLOTTE NC

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- (1) Replacement Cost applies to equipment manufactured up to the number of years indicated above; and
- (2) Actual Cash Value applies to equipment manufactured over the number of years indicated above.

2. Unscheduled Owned Equipment:

Actual Cash Value Valuation applies unless replaced by the Optional Valuation indicated by an 'X'.

- ☐ Replacement Cost Valuation
- ☐ Valuation Determined By Age Of The Equipment – Number of Years:

- (1) Replacement Cost applies to equipment manufactured up to the number of years indicated above; and
- (2) Actual Cash Value applies to equipment manufactured over the number of years indicated above.

B. Coinsurance

The following coinsurance applies to Scheduled Items when indicated by an 'X':

- ☐ 100% ☐ 90% ☒ 80% ☐ No Coinsurance Applies

IV. PREMIUM

A. Premium

The following Premium options apply when indicated by an 'X'.

☒ **Scheduled and Unscheduled Owned Equipment**

- ☒ Non Reporting
Premium: \$ 2,603
- ☐ Premium Adjustment
Premium Base: Values
Premium Adjustment Period: Annual
Estimated Premium Base Amount: \$
Annual Rate Per \$100: \$
Inception Premium: \$
Adjustment Rate Per \$100: \$

☒ **Leased Or Rented From Others**

- ☒ Non Reporting
Premium: \$ 307
- ☐ Premium Adjustment
Premium Base: Expenditures
Premium Adjustment Period: Annual
Estimated Premium Base Amount: \$
Inception Premium: \$
Adjustment Rate Per \$100: \$

Total Premium Due At Inception: \$ 2,910

B. ☐ Minimum Earned Premium: \$

NUMBERS OF FORMS, SCHEDULES AND ENDORSEMENTS FORMING PART OF THIS COVERAGE PART ARE ATTACHED AS A SEPARATE LISTING.

CM T0 01 07 86

Order # CM B0 96 01 21

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PRODUCER: **SURRY INSURANCE**

TH709

OFFICE: **CHARLOTTE NC**

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**CONTRACTORS EQUIPMENT
SUPPLEMENTAL DECLARATIONS****POLICY NUMBER: QT-660-7J681955-TIL-25
ISSUE DATE: 08-08-25****I. COVERAGE AND LIMITS OF INSURANCE**

	Limit Of Insurance
A. Coverage Extensions	
Business Personal Property In Job Trailers:	\$ 10,000
Document And Data Restoration Costs:	\$ 50,000
Fire Protective Systems:	\$ 75,000
Hauling Property Of Others:	\$ 100,000
Newly Acquired Equipment – Per Item:	\$ 250,000
Rental Costs:	
a. Any One Item:	\$ 5,000
b. Any One Occurrence:	\$ 25,000
Upgrades To Covered Property:	\$ 25,000
B. Additional Coverages	Limit Of Insurance
Claim Data Expenses:	\$ 5,000
Continuing Rental Payments:	
a. Any One Item:	\$ 5,000
b. Any One Occurrence:	\$ 25,000
Contract Penalty:	\$ 25,000
Debris Removal Increased Limit:	\$ 75,000
Employee Tools, Equipment And Clothing:	
a. Any One Item:	\$ 1,000
b. Any One Employee:	\$ 2,500
c. Any One Occurrence:	\$ 5,000
Errors Or Unintentional Omissions:	\$ 100,000
Expediting Expenses:	\$ 25,000
Expendable Supplies:	\$ 10,000
Fire Or Police Department Service Charge:	\$ 25,000
Lost Warranty Or Service Contract:	\$ 10,000
Pollutant Clean Up And Removal:	\$ 25,000
Preservation Of Property Expense:	\$ 50,000
Reward Coverage:	\$ 2,500
Tracking System Deductible Waiver Amount:	\$ 10,000

CONTRACTORS EQUIPMENT COVERAGE**POLICY NUMBER: QT-660-7J681955-TIL-25****ISSUE DATE: 08-08-25****CONTRACTORS EQUIPMENT DEDUCTIBLE SCHEDULE**

The following specific Deductible(s) apply to loss or damage to the type of property, or to loss or damage by the cause of loss, as indicated by an 'X' below:

1. ☐ Crane Deductible:
☐ Dollar Deductible: \$
☐ Percent Deductible: % subject to \$ minimum and
\$ maximum
2. ☐ Theft Deductible: \$
3. ☒ Flood Deductible:
☒ Dollar Deductible: \$ 25,000
☐ Percent Deductible: % subject to \$ minimum and
\$ maximum
4. ☒ Earth Movement Deductible:
☒ Dollar Deductible: \$ 25,000
☐ Percent Deductible: % subject to \$ minimum and
\$ maximum
5. ☐ Windstorm Or Hail Deductible:
☐ Dollar Deductible: \$
☐ Percent Deductible: % subject to \$ minimum and
\$ maximum
6. ☐ Named Storm Deductible:
☐ Dollar Deductible: \$
☐ Percent Deductible: % subject to \$ minimum and
\$ maximum
7. ☐ Other Specific Deductible:

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COMMERCIAL INLAND MARINE COVERAGE PART

The following indicates the contents of the principal forms which may be attached to your policy.

It contains no reference to the Declarations or Endorsements which also may be attached.

Beginning on Page

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Loss Conditions

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B. Appraisal _____	1
C. Duties In The Event Of Loss _____	1
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E. Loss Payment _____	1
F. Other Insurance _____	2
G. Pair, Sets Or Parts _____	2
H. Recovered Property _____	2
I. Reinstatement Of Limit After Loss _____	2
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B. Control Of Property _____	2
C. Legal Action Against Us _____	2
D. No Benefit To Bailee _____	3
E. Policy Period, Coverage Territory _____	3
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INLAND MARINE COVERAGE FORM(S)

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1. Covered Property _____	
2. Property Not Covered _____	Page
3. Covered Causes Of Loss _____	
4. Additional Coverage – Collapse (If Applicable) _____	No.
5. Coverage Extensions (If Any) _____	

Varies

B. Exclusions _____	
C. Limits of Insurance _____	By
D. Deductible _____	
E. Additional Conditions _____	Form
F. Definitions _____	

COMMERCIAL INLAND MARINE CONDITIONS

The following conditions apply in addition to the Common Policy Conditions and applicable Additional Conditions in Commercial Inland Marine Coverage Forms:

LOSS CONDITIONS

A. Abandonment

There can be no abandonment of any property to us.

B. Appraisal

If we and you disagree on the value of the property or the amount of loss, either may make written demand for an appraisal of the loss. In this event, each party will select a competent and impartial appraiser. The two appraisers will select an umpire. If they cannot agree, either may request that selection be made by a judge of a court having jurisdiction. The appraisers will state separately the value of the property and amount of loss. If they fail to agree, they will submit their differences to the umpire. A decision agreed to by any two will be binding. Each party will:

1. Pay its chosen appraiser; and
2. Bear the other expenses of the appraisal and umpire equally.

If there is an appraisal, we will still retain our right to deny the claim.

C. Duties In The Event Of Loss

You must see that the following are done in the event of loss or damage to Covered Property:

1. Notify the police if a law may have been broken.
2. Give us prompt notice of the loss or damage. Include a description of the property involved.
3. As soon as possible, give us a description of how, when and where the loss or damage occurred.
4. Take all reasonable steps to protect the Covered Property from further damage, and keep a record of your expenses necessary to protect the Covered Property, for consideration in the settlement of the claim. This will not increase the Limit of Insurance. However, we will not pay for any subsequent loss or damage resulting from a cause of loss that is not a Covered Cause of Loss. Also, if feasible,

set the damaged property aside and in the best possible order for examination.

5. You will not, except at your own cost, voluntarily make a payment, assume any obligation, or incur any expense without our consent.
6. As often as may be reasonably required, permit us to inspect the property proving the loss or damage and examine your books and records.

Also permit us to take samples of damaged and undamaged property for inspection, testing and analysis, and permit us to make copies from your books and records.

7. We may examine any insured under oath, while not in the presence of any other insured and at such times as may be reasonably required, about any matter relating to this insurance or the claim, including an insured's books and records. In the event of an examination, an insured's answers must be signed.
8. Send us a signed, sworn proof of loss containing the information we request to settle the claim. You must do this within 60 days after our request. We will supply you with the necessary forms.
9. Immediately send us copies of any demands, notices, summonses or legal papers received in connection with the claim or suit.
10. Cooperate with us in the investigation or settlement of the claim.

D. Insurance Under Two Or More Coverages

If two or more of this policy's coverages apply to the same loss or damage, we will not pay more than the actual amount of the loss or damage.

E. Loss Payment

1. We will give notice of our intentions within 30 days after we receive the sworn proof of loss.
2. We will not pay you more than your financial interest in the Covered Property.
3. We may adjust losses with the owners of lost or damaged property if other than you. If we pay the owners, such payments will satisfy your claim against us for the owners' property. We will not pay the owners more than

their financial interest in the Covered Property.

4. We may elect to defend you against suits arising from claims of owners of property. We will do this at our expense.
5. We will pay for covered loss or damage within 30 days after we receive the sworn proof of loss if you have complied with all the terms of this Coverage Part and:
 - a. We have reached agreement with you on the amount of the loss; or
 - b. An appraisal award has been made.
6. We will not be liable for any part of a loss that has been paid or made good by others.

F. Other Insurance

1. You may have other insurance subject to the same plan, terms, conditions and provisions as the insurance under this Coverage Part. If you do, we will pay our share of the covered loss or damage. Our share is the proportion that the applicable Limit of Insurance under this Coverage Part bears to the Limits of Insurance of all insurance covering on the same basis.
2. If there is other insurance covering the same loss or damage, other than that described in 1. above, we will pay only for the amount of covered loss or damage in excess of the amount due from that other insurance, whether you can collect on it or not. But we will not pay more than the applicable Limit of Insurance.

G. Pair, Sets Or Parts

1. Pair Or Set

In case of loss or damage to any part of a pair or set we may:

- a. Repair or replace any part to restore the pair or set to its value before the loss or damage; or
- b. Pay the difference between the value of the pair or set before and after the loss or damage.

2. Parts

In case of loss or damage to any part of Covered Property consisting of several parts when complete, we will only pay for the value of the lost or damaged part.

H. Recovered Property

If either you or we recover any property after loss settlement, that party must give the other prompt notice. At your option, the property will be returned to you. You must then return to us the amount we paid to you for the property. We will pay recovery expenses and the expenses to repair the recovered property, subject to the Limit of Insurance.

I. Reinstatement Of Limit After Loss

The Limit of Insurance will not be reduced by the payment of any claim, except for total loss or damage of a scheduled item, in which event we will refund the unearned premium on that item.

J. Transfer Of Rights Of Recovery Against Others To Us

If any person or organization to or for whom we make payment under this Coverage Part has rights to recover damages from another, those rights are transferred to us to the extent of our payment. That person or organization must do everything necessary to secure our rights and must do nothing after loss to impair them. But you may waive your rights against another party in writing:

1. Prior to a loss to your Covered Property.
2. After a loss to your Covered Property only if, at time of loss, that party is one of the following:
 - a. Someone insured by this insurance; or
 - b. A business firm:
 - (1) Owned or controlled by you; or
 - (2) That owns or controls you.

This will not restrict your insurance.

GENERAL CONDITIONS

A. Concealment, Misrepresentation Or Fraud

This Coverage Part is void in any case of fraud, intentional concealment or misrepresentation of a material fact, by you or any other insured, at any time, concerning:

1. This Coverage Part;
2. The Covered Property;
3. Your interest in the Covered Property; or
4. A claim under this Coverage Part.

B. Control Of Property

Any act or neglect of any person other than you beyond your direction or control will not affect this insurance.

The breach of any condition of this Coverage Part at any one or more locations will not affect coverage at any location where, at the time of loss or damage, the breach of condition does not exist.

C. Legal Action Against Us

No one may bring a legal action against us under this Coverage Part unless:

1. There has been full compliance with all the terms of this Coverage Part; and
2. The action is brought within 2 years after you first have knowledge of the direct loss or damage.

D. No Benefit To Bailee

No person or organization, other than you, having custody of Covered Property will benefit from this insurance.

E. Policy Period, Coverage Territory

We cover loss or damage commencing:

1. During the policy period shown in the Declarations; and
2. Within the coverage territory.

F. Valuation

The value of property will be the least of the following amounts:

1. The actual cash value of that property;
2. The cost of reasonably restoring that property to its condition immediately before loss or damage; or
3. The cost of replacing that property with substantially identical property.

In the event of loss or damage, the value of property will be determined as of the time of loss or damage.

POLICY NUMBER: QT-660-7J681955-TIL-25

COMMERCIAL INLAND MARINE
ISSUE DATE: 08-08-25

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

LOSS PAYABLE PROVISIONS

This endorsement modifies insurance under the following:

MISCELLANEOUS PROPERTY COVERAGE FORM

Loss Payable—For Covered Property in which both you and a Loss Payee shown in the Schedule or in the Declarations have an insurable interest, we will:

1. Adjust losses with you; and
2. Pay any claim for loss or damage jointly to you and the loss payee, as interest may appear.

SCHEDULE

**Form or
Endorsement No.**

**Item No. , If any or
Description of Property**

**Loss Payee
(Name and Address)**

MOTOROLA POLICE EQUIPMENT
GOODIN POLICE EQUIPMENT

FIRST NATIONAL BANK OF PENNSYLVANIA
ISAOA / ATIMA

PO BOX 703809

DALLAS

TX 75370-3809

FINE ART AND COLLECTIBLES COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the Company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section F – DEFINITIONS.

A. COVERAGE

We will pay for direct physical loss of or damage to Covered Property caused by or resulting from a Covered Cause of Loss.

1. Covered Property

Covered Property, as used in this Coverage Form, means property you own, or property of others in your care, custody or control, that is described in the Declarations consisting of:

- a. "Fine art"; or
- b. "Collectibles".

2. Property Not Covered

Covered Property does not include:

- a. Property while being repaired, restored or retouched or undergoing other similar conservation work, except to the extent that coverage is provided under the Conservation Coverage Additional Coverage.
- b. Contraband, or property in the course of illegal transportation or trade.

3. Covered Causes of Loss

Covered Causes of Loss means RISKS OF DIRECT PHYSICAL LOSS unless the loss is:

- a. Excluded in Section B – EXCLUSIONS; or
- b. Excluded or limited in the Declarations or Endorsements.

4. Coverage Extensions

Each of the following Coverage Extensions applies unless *Not Covered* is indicated in the Declarations.

a. Fire Protective Systems

If your fire protective equipment discharges accidentally or to control a Covered Cause of Loss, we will pay for your expense to:

- (1) Recharge or refill your fire protective systems; and
- (2) Replace or repair faulty valves or controls that caused the discharge.

The Fire Protection Systems Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Coverage Extension.

b. Library And Reference Material

We will pay your costs to research, replace or restore your lost or damaged library and reference material directly related to Covered Property, including those materials which exist on electronic or magnetic media for which there are no duplicates. Such costs must result from direct physical loss or damage by a Covered Cause of Loss to such library and reference material.

The Library And Reference Material Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Coverage Extension.

c. Newly Acquired Property

You may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage by a Covered Cause of Loss to "fine art" or "collectibles" you acquire during the policy period. Coverage under this Coverage Extension will end when any of the following first occurs:

- (1) 180 days expire after you acquire the property;
- (2) You report the property to us; or
- (3) The policy expires or is cancelled.

We will charge you additional premium for the newly acquired property from the date of your acquisition.

The Newly Acquired Property Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Coverage Extension.

d. Preservation Of Property

If it is necessary to move Covered Property to preserve it from the threat of imminent loss or damage by a Covered Cause of Loss, we will pay for:

- (1) The reasonable and necessary expenses actually incurred by you to remove the Covered Property, temporarily store the Covered Property at another location and move the Covered Property back to the location from which it was moved within a reasonable time after the threat of imminent loss or damage to the property by the Covered Cause of Loss passes. Coverage for your incurred expenses will end when any of the following first occurs:
 - (a) 90 days expire after the property is moved;
 - (b) The property is returned to the location from which it was moved; or
 - (c) The policy expires or is cancelled.

The Preservation Of Property Expense Limit Of Insurance shown in the Declarations is the most we will pay for the sum of all such expenses that you incur due to the threat of loss or damage from any one occurrence.

- (2) Any direct physical loss of or damage to the Covered Property while it is being moved, while temporarily stored at another location or while being moved back to the location from which it was moved.

The most we will pay in any one occurrence for direct physical loss of or damage to the Covered Property is the Limit of Insurance applicable to the moved property. Any payment under this Coverage Extension for such direct physical loss or damage

is included within and will not increase such limit.

5. Additional Coverages

Each of the following Additional Coverages applies unless *Not Covered* is indicated in the Declarations.

a. Claim Data Expense

- (1) We will pay the reasonable expenses you incur in preparing claim data when we require it to adjust a covered loss. This includes the cost of taking inventories, making appraisals and preparing other documentation to show the extent of loss.
- (2) We will not pay for:
 - (a) Any expenses incurred, directed, or billed by or payable to attorneys, insurance adjusters or their associates or subsidiaries;
 - (b) Any costs as provided in the Appraisal Loss Condition in the Commercial Inland Marine Conditions; or
 - (c) Any expenses incurred, directed, or billed by or payable to insurance brokers or agents, or their associates or subsidiaries, without our written consent prior to such expenses being incurred.

The Claim Data Expense Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Additional Coverage.

b. Conservation Coverage

We will pay for direct physical loss of or damage to Covered Property caused by or resulting from any repairing, restoring, retouching or other similar conservation work upon Covered Property.

The Conservation Coverage Limit Of Insurance shown in the Declarations is the most we will pay in any one oc-

currence under this Additional Coverage.

c. Debris Removal

- (1) We will pay your expense to remove debris of Covered Property caused by or resulting from a Covered Cause of Loss that occurs during the policy period.

The amount we will pay includes the increased costs you incur to divert debris of Covered Property to recycling facilities rather than landfills. Any income or remuneration derived from this recycling will reduce the amount of debris removal expense we would have otherwise paid.

The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.

This Additional Coverage does not apply to costs to:

- (a) Extract "pollutants" from land or water; or
- (b) Remove, restore or replace polluted land or water.

- (2) The most we will pay in any one occurrence under this Additional Coverage for your expense to remove the debris of Covered Property is 25% of:

- (a) The amount we pay for the direct physical loss of or damage to Covered Property; plus
- (b) The Deductible in this Coverage Form applicable to that loss or damage.

Except as provided in Paragraph (3) below, payment under this Additional Coverage is included within and will not increase the applicable Limit of Insurance.

- (3) If:

- (a) Your expense to remove debris of Covered Property ex-

ceeds the 25% limitation in Paragraph (2) above; or

- (b) The sum of the amount we pay for loss of or damage to Covered Property and the expense for removal of its debris exceeds the applicable Limit of Insurance;

we will pay up to the Debris Removal Increased Limit Of Insurance shown in the Declarations.

d. Display Cases And Shipping Containers

We will pay for direct physical loss or damage by a Covered Cause of Loss to frames, stands, cases and shipping containers, including associated hardware or fittings, used to display or transport Covered Property.

The Display Cases And Shipping Containers Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Additional Coverage.

e. Fire Or Police Department Service Charge

We will pay your liability for fire, police or other public emergency service department charges when such public emergency services are called to save or protect Covered Property from a Covered Cause of Loss. Such emergency service department charges must be:

- (1) Assumed by contract or agreement prior to loss or damage; or
- (2) Required by local ordinance.

The Fire Or Police Department Service Charge Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Additional Coverage.

No deductible applies to this Additional Coverage.

f. Pollutant Cleanup and Removal

We will pay your expense to extract "pollutants" from land or water if the

discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from any of the "specified causes of loss" that occurs to Covered Property during the policy period.

The expenses will be paid only if they are reported to us within 180 days of the date on which the covered "specified cause of loss" occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The Pollutant Cleanup And Removal Limit Of Insurance shown in the Declarations is the most we will pay under this Additional Coverage for the sum of all covered expenses arising out of all "specified causes of loss" occurring during each separate 12 month period of this policy, beginning with the effective date of the policy.

g. Reward Coverage

We will reimburse you for reward expenses you have incurred leading to:

- (1) The successful return of undamaged stolen Covered Property to a law enforcement agency; or
- (2) The arrest and conviction of any person who has damaged or stolen any Covered Property.

We will pay 25% of the covered loss, prior to the application of any Deductible and recovery of undamaged stolen Covered Property, up to the Reward Coverage Limit Of Insurance shown in the Declarations in any one occurrence for the reward payments you make. These reward payments must be documented.

No Deductible applies to this Additional Coverage.

B. EXCLUSIONS

1. We will not pay for a loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss or damage. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

a. Governmental Action

Seizure or destruction of property by order of governmental authority.

But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread if the fire would be covered by this Coverage Form.

b. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination results in fire, we will pay for the loss or damage caused by that fire.

c. War and Military Action

- (1) War, including undeclared or civil war;
 - (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
 - (3) Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.
2. We will not pay for a loss or damage caused by or resulting from any of the following:
 - a. Consequential Loss**
 - (1) Delay, loss of use or loss of market; or
 - (2) Loss of business income or extra expense.

b. Dishonesty

Dishonest or criminal act by you, any of your partners, members, officers, managers, employees (including leased employees), directors, trustees, authorized representatives or anyone to whom you entrust the property for any purpose:

- (1) Acting alone or in collusion with others; or
- (2) Whether or not occurring during the hours of employment.

This exclusion does not apply to acts of destruction by your employees (including leased employees), but theft by employees is not covered.

This exclusion does not apply to carriers for hire.

c. Pollution

Discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any of the "specified causes of loss".

But if the discharge, dispersal, seepage, migration, release or escape of "pollutants" results in any of the "specified causes of loss", we will pay for the loss or damage caused by such "specified causes of loss".

3. We will not pay for loss or damage caused by or resulting from any of the following. But if an excluded cause of loss that is listed below results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

- a. **Weather conditions.** But this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in B.1. above to produce the loss or damage.

b. Other Types Of Losses:

- (1) Wear and tear.
- (2) Decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself.
- (3) Faulty, improper or inadequate packing or stowage by you, consignors,

consignees, conservators, carriers, third-party packers or anyone else.

C. LIMITS OF INSURANCE

The most we will pay for loss or damage in any one occurrence is the applicable Limit of Insurance shown in the Declarations, Schedule(s), Coverage Form or Endorsement(s). But in the event coverage for loss or damage is provided under the Coverage Extensions or Additional Coverages, the Limits of Insurance stated within the specific Coverage Extension or Additional Coverage will apply as additional amounts of insurance, unless otherwise stated within the Coverage Extension or Additional Coverage.

D. DEDUCTIBLE

We will not pay for loss or damage in any one occurrence until the amount of the adjusted loss or damage exceeds the applicable Deductible shown in the Declarations, Schedule(s), Coverage Form(s) or Endorsement(s). We will then pay the amount of the adjusted loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

The applicable Deductible shown in the Declarations applies to the Coverage Extensions and Additional Coverages unless otherwise stated in the Coverage Extension or Additional Coverage.

Unless otherwise stated, if more than one Deductible amount applies to loss or damage in any one occurrence, the total of the deductible amounts applied in that occurrence will not exceed the amount of the largest applicable Deductible.

E. ADDITIONAL CONDITIONS

The following conditions apply in addition to the COMMERCIAL INLAND MARINE CONDITIONS and the COMMON POLICY CONDITIONS:

1. Coverage Territory

- a. We cover property wherever located within:
 - (1) The United States of America (including its territories and possessions);
 - (2) Puerto Rico; or
 - (3) Canada.
- b. We also cover property being shipped by air within and between points in Paragraph a. above.

2. Loss Payment

The following is added to the Loss Payment LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS:

- a. In the event of loss or damage covered by this Coverage Form, at our option we will either:

- (1) Pay the cost of reasonably restoring the property to its condition immediately before loss or damage, including any "diminution in value";
- (2) Pay the value of the lost or damaged property; or
- (3) Take all or any part of the property at an agreed or appraised value.

We will determine the value of lost or damaged property, or the cost of restoring such property, in accordance with the applicable terms of the Valuation ADDITIONAL CONDITION in this Coverage Form or any applicable provision which amends or supersedes such Condition.

- b. At our option, we may make a partial payment toward any claim, subject to the policy provisions and our normal adjustment process. To be considered for a partial claim payment, you must submit a partial sworn proof of loss with supporting documentation. Any applicable policy deductibles must be satisfied before any partial payments are made.

3. Minimum Earned Premium

If a Minimum Earned Premium is shown in the Declarations, such premium is the least amount of premium you must pay when the actual earned premium for this coverage is less than the Minimum Earned Premium.

The Minimum Earned Premium does not apply if we cancel coverage other than at your request.

4. Owners As Additional Insureds

With respect to Covered Property owned by others, if you have agreed in a written contract or agreement, executed prior to loss, to include the owner of such property as an additional insured, such owner will be an additional insured under this coverage form, but

only to the extent of their financial interest in the lost or damaged Covered Property.

5. Pair Or Sets

The Pair, Sets Or Parts LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS is replaced by the following:

Pair Or Sets

1. In case of a total loss or damage to any part of a pair or set we will pay the Limit of Insurance applicable to that pair or set. You will surrender to us the remaining items of the pair or set.
2. In case of a partial loss to any part of a pair or set, we may:
 - a. Repair or replace any part to restore the pair or set to its value before the loss or damage; or
 - b. Pay the difference between the value of the pair or set before and after the loss.

6. Records And Inventory

You agree to maintain detailed and accurate records and inventory of all Covered Property including the location of the property, property that is on loan or exhibition, property that is in transit and the ownership interest in Covered Property. You will make such records and inventory available to us at any reasonable time that we may request. You also agree to retain such records and inventory for three years after the end of the policy period.

7. Reinstatement Of Limit After Loss

The Reinstatement Of Limit After Loss LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS is replaced by the following:

Reinstatement Of Limit After Loss

With the exception of any applicable annual aggregate Limit of Insurance, the Limit of Insurance will not be reduced by the payment of any claim.

8. Valuation

The Valuation GENERAL CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS is replaced by the following:

Valuation

In the event of loss or damage, we will determine the value of Covered Property at the time of loss or damage as follows:

a. Covered Property You Own**(1) Scheduled Items:**

The value of each item of "fine art" or "collectible" that is individually listed and described is the amount shown for that item in the Declarations, the applicable Schedule(s) or Endorsement(s), or on the most current schedule you provided and that is on file with us.

But if a Scheduled Item describes a group of items by general type, category or location, any one item will be valued at market value, not to exceed the Limit Of Insurance applying to such group of items.

(2) Blanket Items:

The value of any unlisted item of "fine art" or "collectible" will be the market value of that item.

The most we will pay for any one unlisted item will not exceed the Limit Of Insurance For Any One Unlisted Item shown in the Declarations or the applicable Endorsement(s).

b. Covered Property Owned By Others

The value of Covered Property owned by others will be the amount for which you are liable, not to exceed the market value of that property.

c. Newly Acquired Property

The value of any item of newly acquired "fine art" or "collectibles" will be the greater of:

- (1) The acquisition cost of the item; or
- (2) The market value of the item.

d. Display Cases And Shipping Containers

The value of display cases and shipping containers will be replacement cost, meaning the cost to repair or replace lost or damaged property without deduction for depreciation. But if you choose not to repair or replace the item, we will pay only the actual cash value of

the item, with proper deduction for depreciation.

F. DEFINITIONS**1. "Collectibles" means:**

- a. Photographs, letters, journals, logs or diaries of a historical or collectible nature;
- b. Stamps, coins, or currency of a numismatic or philatelic nature;
- c. Geologic, archeological, and other natural objects or specimens;
- d. Cultural, ethnic, religious or ceremonial objects or artifacts;
- e. Scientific, industrial, commercial, agricultural, household or personal objects of a historical or collectible nature; and
- f. Other objects of rarity or of a historical or collectible nature.

2. "Diminution in value" means the reduction in value between the value of the property prior to loss or damage and the value of the property after repair or restoration following loss or damage.**3. "Fine art" means:**

- a. Drawings, etchings, lithographs, paintings, pictures;
- b. Art glass windows;
- c. Bona fide works of art such as:
 - (1) Valuable rugs or tapestries;
 - (2) Statuary, marbles and bronzes;
 - (3) Antique furniture and silver;
 - (4) Manuscripts and rare books; and
 - (5) Porcelains, rare glass and bric-a-brac;
- d. Other bona fide works of artistic merit.

4. "Pollutants" means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals, waste and any unhealthful or hazardous building materials (including asbestos and lead products or materials containing lead). Waste includes materials to be recycled, reconditioned or reclaimed.**5. "Sinkhole collapse" means the sudden sinking or collapse of land into underground emp-**

ty spaces created by the action of water on limestone or dolomite.

This cause of loss does not include:

- a. The cost of filling sinkholes; or
- b. Sinking or collapse of land into man-made underground cavities.

6. **"Specified causes of loss"** means the following: Fire; lightning; explosion; windstorm or hail; smoke (including the emission or puff back of smoke, soot, fumes or vapors from a boiler, furnace or related equipment); aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire extinguishing equipment; "sinkhole collapse"; volcanic action; falling objects as limited below; weight of snow, ice or sleet; "water damage", all only as otherwise insured against in this Coverage Form.

Falling objects does not include loss or damage to:

- a. Personal property in the open; or

- b. Property inside a building or structure, unless the roof or an exterior wall of the building or structure is first damaged by a falling object.

7. **"Water damage"** means:

- a. Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of a plumbing, heating, air conditioning or other system or appliance (other than a sump system including its related equipment and parts) that is located on the premises at which the Covered Property is located and contains water or steam; and
- b. Accidental discharge or leakage of water as the direct result of the breaking apart or cracking of a water or sewer pipe that is located off the premises at which the Covered Property is located, if the breakage or cracking is caused by wear and tear. This provision serves as an exception to the wear and tear exclusion 3.b.(1) in Section B – EXCLUSIONS.

MISCELLANEOUS PROPERTY COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the Company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section F – DEFINITIONS.

A. COVERAGE

We will pay for direct physical loss of or damage to Covered Property caused by or resulting from a Covered Cause of Loss.

1. Covered Property

Covered Property, as used in this Coverage Form, means property you own, or property of others in your care, custody or control, that is described in the Declarations.

2. Property Not Covered

Covered Property does not include:

- a. Aircraft.
- b. Contraband, or property in the course of illegal transportation or trade.
- c. Live animals.
- d. Vehicles or self-propelled machines that are licensed for use on public roads.

3. Covered Causes Of Loss

Covered Causes of Loss means RISKS OF DIRECT PHYSICAL LOSS unless the loss is:

- a. Excluded in Section B – EXCLUSIONS; or
- b. Excluded or limited in the Declarations or Endorsements.

4. Coverage Extensions

Each of the following Coverage Extensions applies unless *Not Covered* is indicated in the Declarations.

a. Fire Protective Systems

If your fire protective equipment discharges accidentally or to control a Covered Cause of Loss, we will pay for your expense to:

- (1) Recharge or refill your fire protective systems; and
- (2) Replace or repair faulty valves or controls that caused the discharge.

The Fire Protective Systems Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Coverage Extension.

b. Newly Acquired Property

You may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage by a Covered Cause of Loss to items you acquire during the policy period that are of the type already covered by this Coverage Form.

Coverage under this Coverage Extension will end when any of the following first occurs:

- (1) 180 days expire after you acquire the property;
- (2) You report the property to us; or
- (3) The policy expires or is cancelled.

We will charge you additional premium for the newly acquired property from the date of your acquisition.

The Newly Acquired Property Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Coverage Extension.

c. Preservation Of Property

If it is necessary to move Covered Property to preserve it from the threat of imminent loss or damage by a Covered Cause of Loss, we will pay for:

- (1) The reasonable and necessary expenses actually incurred by you to remove the Covered Property, temporarily store the Covered Property at another location and move the Covered Property back to the location from which it was moved within a reasonable time after the

threat of imminent loss or damage to the property by the Covered Cause of Loss passes. Coverage for your incurred expenses will end when any of the following first occurs:

- (a) 90 days expire after the property is moved;
- (b) The property is returned to the location from which it was moved; or
- (c) The policy expires or is cancelled.

The Preservation Of Property Expense Limit Of Insurance shown in the Declarations is the most we will pay for the sum of all such expenses that you incur due to the threat of loss or damage from any one occurrence.

- (2) Any direct physical loss of or damage to the Covered Property while it is being moved, while temporarily stored at another location or while being moved back to the location from which it was moved.

The most we will pay in any one occurrence for direct physical loss of or damage to the Covered Property is the Limit Of Insurance applicable to the moved property. Any payment under this Coverage Extension for such direct physical loss or damage is included within and will not increase such limit.

d. Valuable Papers And Records

We will pay your costs to research, replace or restore lost or damaged valuable papers and records, including those which exist on electronic or magnetic media, for which there are no duplicates. Such costs must result from direct physical loss or damage by a Covered Cause of Loss to your valuable papers and records directly related to the Covered Property described in the Declarations.

The Valuable Papers And Records Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Coverage Extension.

But we will not pay for loss of or damage to accounts, bills, deeds, evidences of debt, currency, money, notes or securities.

5. Additional Coverages

Each of the following Additional Coverages applies unless *Not Covered* is indicated in the Declarations.

a. Claim Data Expense

- (1) We will pay the reasonable expenses you incur in preparing claim data when we require it to adjust a covered loss. This includes the cost of taking inventories, making appraisals and preparing other documentation to show the extent of loss.

- (2) We will not pay for:

- (a) Any expenses incurred, directed, or billed by or payable to attorneys, insurance adjusters or their associates or subsidiaries;
- (b) Any costs as provided in the Appraisal LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS; or
- (c) Any expenses incurred, directed, or billed by or payable to insurance brokers or agents, or their associates or subsidiaries, without our written consent prior to such expenses being incurred.

The Claim Data Expense Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Additional Coverage.

b. Debris Removal

- (1) We will pay your expense to remove debris of Covered Property caused by or resulting from a Covered Cause of Loss that occurs during the policy period.

The amount we will pay includes the increased costs you incur to divert debris of Covered Property to recycling facilities rather than landfills. Any income or remuneration derived from this recycling will reduce the amount of debris removal

expense we would have otherwise paid.

The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.

This Additional Coverage does not apply to costs to:

- (a) Extract "pollutants" from land or water; or
 - (b) Remove, restore or replace polluted land or water.
- (2) The most we will pay in any one occurrence under this Additional Coverage for your expense to remove the debris of Covered Property is 25% of:
- (a) The amount we pay for the direct physical loss of or damage to Covered Property; plus
 - (b) The Deductible in this Coverage Form applicable to that loss or damage.

Except as provided in Paragraph (3) below, payment under this Additional Coverage is included within and will not increase the applicable Limit Of Insurance.

- (3) If:
- (a) Your expense to remove debris of Covered Property exceeds the 25% limitation in Paragraph (2) above; or
 - (b) The sum of the amount we pay for loss of or damage to Covered Property and the expense for removal of its debris exceeds the applicable Limit Of Insurance;

we will pay up to the Debris Removal Increased Limit Of Insurance shown in the Declarations.

c. Fire Or Police Department Service Charge

We will pay your liability for fire, police or other public emergency service department charges when such public emergency services are called to save or protect Covered Property from a Covered Cause of Loss. Such emergency service department charges must be:

- (1) Assumed by contract or agreement prior to loss or damage; or
- (2) Required by local ordinance.

The Fire or Police Department Service Charge Limit Of Insurance shown in the Declarations is the most we will pay in any one occurrence under this Additional Coverage.

No deductible applies to this Additional Coverage.

d. Pollutant Cleanup And Removal

We will pay your expense to extract "pollutants" from land or water if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from any of the "specified causes of loss" which occurs to Covered Property during the policy period.

The expenses will be paid only if they are reported to us within 180 days of the date on which the covered "specified cause of loss" occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The Pollutant Cleanup And Removal Limit Of Insurance shown in the Declarations is the most we will pay under this Additional Coverage for the sum of all covered expenses arising out of all "specified causes of loss" occurring during each separate 12 month period of this policy, beginning with the effective date of the policy.

e. Reward Coverage

We will reimburse you for reward expenses you have incurred leading to:

- (1) The successful return of undamaged stolen Covered Property to a law enforcement agency; or
- (2) The arrest and conviction of any person who has damaged or stolen any Covered Property.

We will pay 25% of the covered loss, prior to the application of any Deductible and recovery of undamaged stolen Covered Property, up to the Reward Coverage Limit Of Insurance shown in the Declarations in any one occurrence for the reward payments you make. These reward payments must be documented.

No Deductible applies to this Additional Coverage.

B. EXCLUSIONS

1. We will not pay for a loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss or damage. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

a. Governmental Action

Seizure or destruction of property by order of governmental authority.

But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread if the fire would be covered by this Coverage Form.

b. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination results in fire, we will pay for the loss or damage caused by that fire.

c. War and Military Action

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government, sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power or action taken by governmental authority in hindering or defending against any of these.

2. We will not pay for a loss or damage caused by or resulting from any of the following:

a. Consequential Loss

- (1) Delay, loss of use or loss of market; or
- (2) Loss of business income or extra expense.

b. Dishonesty

Dishonest or criminal act by you, any of your partners, members, officers, managers, employees (including leased employees), directors, trustees, authorized representatives or anyone to whom you entrust the property for any purpose:

- (1) Acting alone or in collusion with others; or
- (2) Whether or not occurring during the hours of employment.

This exclusion does not apply to acts of destruction by your employees (including leased employees), but theft by employees is not covered.

This exclusion does not apply to carriers for hire.

c. Missing Property

Property that is missing, where the only evidence of the loss or damage is a shortage disclosed on taking inventory, or other instances where there is no physical evidence to show what happened to the property.

d. Pollution

Discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any of the "specified causes of loss".

But if the discharge, dispersal, seepage, migration, release or escape of "pollutants" results in any of the "specified causes of loss", we will pay for the loss or damage caused by such "specified causes of loss".

3. We will not pay for loss or damage caused by or resulting from any of the following. But if an excluded cause of loss that is listed below results in a Covered Cause of Loss, we will

pay for the loss or damage caused by that Covered Cause of Loss.

a. Weather conditions. But this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in B.1. above to produce the loss or damage.

b. Electrical Damage or Disturbance

Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs or otherwise interferes with any:

- (1) Electrical or electronic wire, device, appliance, system or network; or
- (2) Device, appliance, system or network utilizing cellular or satellite technology.

Electrical, magnetic or electromagnetic energy includes:

- (a) Electrical current, including arcing;
- (b) Electrical charge produced or conducted by a magnetic or electromagnetic field;
- (c) Pulse of electromagnetic energy;
- (d) Electromagnetic waves or microwaves.

c. Other Types Of Losses

- (1) Wear and tear.
- (2) Mechanical breakdown or failure, including rupture or bursting caused by centrifugal force.
- (3) Decay, gradual deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself.

C. LIMITS OF INSURANCE

The most we will pay for loss or damage in any one occurrence is the applicable Limit Of Insurance shown in the Declarations, Schedule(s), Coverage Form or Endorsement(s). But in the event coverage for loss or damage is provided under the Coverage Extensions or Additional Coverages, the Limits Of Insurance stated within the specific Coverage Extension or Additional Coverage will apply as additional amounts of insurance, unless otherwise stated within the Coverage Extension or Additional Coverage.

D. DEDUCTIBLE

We will not pay for loss or damage in any one occurrence until the amount of the adjusted loss or damage exceeds the applicable Deductible shown in the Declarations, Schedule(s), Coverage Form(s) or Endorsement(s). We will then pay the amount of the adjusted loss or damage in excess of the Deductible, up to the applicable Limit Of Insurance.

The applicable Deductible shown in the Declarations applies to the Coverage Extensions and Additional Coverages unless otherwise stated in the Coverage Extension or Additional Coverage.

Unless otherwise stated, if more than one Deductible amount applies to loss or damage in any one occurrence, the total of the deductible amounts applied in that occurrence will not exceed the amount of the largest applicable Deductible.

E. ADDITIONAL CONDITIONS

The following conditions apply in addition to the COMMERCIAL INLAND MARINE CONDITIONS and the COMMON POLICY CONDITIONS:

1. Coinsurance

If a Coinsurance percentage is shown in the Declarations, the following condition applies:

- a.** We will not pay the full amount of any loss or damage if the value of Covered Property at the time of loss or damage multiplied by the Coinsurance percentage shown in the Declarations is greater than the applicable Limit Of Insurance for such Covered Property.

Instead, we will determine the most we will pay using the following steps:

Step (1): Multiply the value of Covered Property at the time of loss or damage by the Coinsurance percentage shown in the Declarations.

Step (2): Divide the applicable Limit Of Insurance for Covered Property by the figure determined in Step (1).

Step (3): Multiply the total amount of covered loss or damage, before the application of any deductible, by the figure determined in Step (2).

Step (4): Subtract the applicable Deductible from the figure determined in Step (3).

We will pay the amount determined in Step (4) or the applicable Limit Of Insurance, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

- b. Coinsurance does not apply to:
 - (1) Additional Coverages; or
 - (2) Coverage Extensions.

2. Coverage Territory

- a. We cover property wherever located within:
 - (1) The United States of America (including its territories and possessions);
 - (2) Puerto Rico; or
 - (3) Canada.
- b. We also cover property being shipped by air within and between points in Paragraph a. above.

3. Loss Payment

The following is added to Loss Payment LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS:

- a. In the event of loss or damage covered by this Coverage Form, at our option we will either:
 - (1) Pay the cost of reasonably restoring the property to its condition immediately before loss or damage;
 - (2) Pay the value of the lost or damaged property; or
 - (3) Take all or any part of the property at an agreed or appraised value.

We will determine the value of lost or damaged property, or the cost of restoring such property, in accordance with the applicable terms of the Valuation ADDITIONAL CONDITION in this Coverage Form or any applicable provision which amends or supersedes such Condition.

- b. At our option, we may make a partial payment toward any claim, subject to the policy provisions and our normal adjustment process. To be considered for a partial claim payment, you must submit a partial sworn proof of loss with

supporting documentation. Any applicable policy deductibles must be satisfied before any partial payments are made.

4. Minimum Earned Premium

If a Minimum Earned Premium is shown in the Declarations, such premium is the least amount of premium you must pay when the actual earned premium for this coverage is less than the Minimum Earned Premium.

The Minimum Earned Premium does not apply if we cancel coverage other than at your request.

5. Reinstatement Of Limit After Loss

The Reinstatement Of Limit After Loss LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS is replaced by the following:

Reinstatement Of Limit After Loss

With the exception of any applicable annual aggregate Limit Of Insurance, the Limit Of Insurance will not be reduced by the payment of any claim.

6. Valuation

The Valuation GENERAL CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS is replaced by the following:

Valuation

In the event of loss or damage, we will determine the value of Covered Property at the time of loss or damage as follows:

- a. Subject to Paragraphs c. and d. below, the value of Covered Property you own will be the least of the following:
 - (1) The actual cash value of that property.

But in the event of partial loss or damage, not exceeding 20% of the Limit Of Insurance applicable to the Covered Property, no depreciation will be applied in the settlement of the claim. This provision only applies to property that is less than 10 years old at the time of loss or damage;
 - (2) The cost of reasonably restoring that property to its condition immediately before loss or damage; or
 - (3) The cost of replacing that property with substantially identical property.
- b. The value of Covered Property owned by others will be the amount for which you

are liable, not to exceed the replacement cost.

c. Optional Replacement Cost Valuation

When indicated by an 'X' in the Declarations, the value of Covered Property you own will be determined at replacement cost as of the time of loss or damage, except as otherwise provided in this Valuation ADDITIONAL CONDITION. Replacement cost is the cost to replace Covered Property at the time of loss or damage without deduction for depreciation.

(1) You may make a claim for loss or damage covered by this insurance on an actual cash value basis instead of on a replacement cost basis. In the event you elect to have loss or damage settled on an actual cash value basis, you may still make a claim on a replacement cost basis if you notify us of your intent to do so within 180 days after the loss or damage.

(2) We will not pay on a replacement cost basis for any loss or damage:

- (a) Until the lost or damaged property is actually repaired or replaced; and
- (b) Unless the repairs or replacement are made as soon as reasonably possible after the loss or damage.

Instead, we will pay on an actual cash value basis. This restriction does not apply to losses less than \$50,000.

d. Optional Agreed Value Valuation

When indicated by an 'X' in the Declarations, the value of Covered Property you own will be determined as follows:

The value of Covered Property you own will be the Limit Of Insurance shown in the Declarations, Schedule(s) or Endorsement(s).

F. DEFINITIONS

1. **"Pollutants"** means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals, waste and any unhealthful or hazardous building materials (including

asbestos and lead products or materials containing lead). Waste includes materials to be recycled, reconditioned or reclaimed.

2. **"Sinkhole collapse"** means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite.

This cause of loss does not include:

- (a) The cost of filling sinkholes; or
- (b) Sinking or collapse of land into man-made underground cavities.

3. **"Specified causes of loss"** means the following: Fire; lightning; explosion; windstorm or hail; smoke (including the emission or puff back of smoke, soot, fumes or vapors from a boiler, furnace or related equipment); aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire extinguishing equipment; "sinkhole collapse"; volcanic action; falling objects as limited below; weight of snow, ice or sleet; "water damage", all only as otherwise insured against in this Coverage Form.

Falling objects does not include loss or damage to:

- a. Personal property in the open; or
- b. Property inside a building or structure, unless the roof or an exterior wall of the building or structure is first damaged by a falling object.

4. **"Water damage"** means:

- a. Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of a plumbing, heating, air conditioning or other system or appliance (other than a sump system including its related equipment and parts) that is located on the premises at which the Covered Property is located and contains water or steam; and
- b. Accidental discharge or leakage of water as the direct result of the breaking apart or cracking of a water or sewer pipe that is located off the premises at which the Covered Property is located, if the breakage or cracking is caused by wear and tear. This provision serves as an exception to the wear and tear exclusion 3.c.(1) in Section B – EXCLUSIONS.

CONTRACTORS EQUIPMENT COVERAGE FORM

Various provisions in this policy restrict coverage. Read the entire policy carefully to determine rights, duties and what is and is not covered.

Throughout this policy, the words "you" and "your" refer to the Named Insured shown in the Declarations. The words "we", "us" and "our" refer to the Company providing this insurance.

Other words and phrases that appear in quotation marks have special meaning. Refer to Section F - DEFINITIONS.

A. COVERAGE

We will pay for direct physical loss of or damage to Covered Property caused by or resulting from a Covered Cause of Loss.

1. Covered Property

Covered Property, as used in this Coverage Form, means contractors equipment or other types of specialized machinery, equipment and tools, including attachments and accessories to such contractors equipment, machinery, equipment and tools, used in your business operations. We cover such property that is:

- a. Owned by you, including while leased, rented or loaned to others; or
- b. Owned by others while in your care, custody or control and that you have leased, rented or borrowed;

if a Limit of Insurance is shown in the Declarations for the applicable Covered Property.

2. Property Not Covered

Covered Property does not include:

- a. Aircraft.
- b. Contraband, or property in the course of illegal transportation or trade.
- c. Motor vehicles designed and principally used to transport property or persons over public roads. But this restriction does not apply to any vehicle to which contractors equipment or other types of specialized machinery or equipment is permanently mounted or attached.
- d. Watercraft. But this restriction does not apply to crew boats, work boats, barges or marine floats less than 26 feet in length that are used exclusively in direct support of your business operations.

3. Covered Causes Of Loss

Covered Causes of Loss means RISKS OF DIRECT PHYSICAL LOSS unless the loss is:

- a. Excluded in Section B - EXCLUSIONS; or
- b. Excluded or limited in the Declarations or Endorsements.

4. Coverage Extensions

Each of the following Coverage Extensions applies unless *Not Covered* is indicated in the Supplemental Declarations.

a. Business Personal Property In Job Trailers

You may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage by a Covered Cause of Loss to your business personal property, other than Covered Property, while such property is located in a job or office trailer.

The Business Personal Property In Job Trailers Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Coverage Extension.

b. Document And Data Restoration Costs

We will pay your costs to research, replace or restore lost or damaged valuable papers and records, including those which exist on electronic or magnetic media, for which there are no duplicates. Such costs must result from direct physical loss or damage by a Covered Cause of Loss to your valuable papers and records directly related to Covered Property.

The Document And Data Restoration Costs Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Coverage Extension.

c. Fire Protective Systems

If your fire protective equipment discharges accidentally or to control a Covered Cause of Loss to Covered Property, we will pay for your expense to:

- (1) Recharge or refill your fire protective systems; and
- (2) Replace or repair faulty valves or controls that caused the discharge.

The Fire Protection Systems Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Coverage Extension.

d. Hauling Property Of Others

We will pay your liability for direct physical loss or damage by a Covered Cause of Loss to property of others that you have accepted solely for transportation while such property is in your care, custody or control. Such property must be of the type eligible for coverage under this Coverage Form.

The Hauling Property Of Others Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Coverage Extension.

e. Newly Acquired Equipment

You may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage by a Covered Cause of Loss to equipment you acquire during the policy period or after submitting the most recent schedule of Covered Property to us. Such newly acquired equipment must be of the type eligible for coverage under this Coverage Form. Coverage on the newly acquired equipment is subject to the following:

(1) Non Reporting:

If this policy is written on a Non Reporting basis, we will cover such newly acquired equipment for up to 180 days. Coverage under this Coverage Extension will end when any of the following first occurs:

- (a) 180 days expire after you acquire the equipment;
- (b) You report the equipment to us; or

- (c) The policy expires or is cancelled.

We will charge you additional premium for the newly acquired property from the date of your acquisition.

(2) Premium Adjustment:

If this policy is written on a Premium Adjustment basis, we will cover such newly acquired equipment for the remainder of the policy period. Coverage under this Coverage Extension will end when the policy expires or is cancelled.

The Newly Acquired Equipment – Per Item Limit Of Insurance shown in the Supplemental Declarations is the most we will pay for any one newly acquired item of equipment in any one occurrence under this Coverage Extension.

f. Rental Costs

- (1) In the event of a covered loss to Covered Property, we will pay the cost to rent an item of equipment similar to the item that sustained loss or damage when such rental equipment is necessary to continue your normal business operations because you do not have idle equipment that can perform the same work or function.

Coverage for such cost will begin immediately after the time of direct physical loss or damage and will end when either of the following first occurs:

- (a) The item of equipment to which the loss or damage occurred is repaired or replaced; or
- (b) The rented item of equipment is no longer needed.

The applicable Rental Costs Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Coverage Extension for the cost to rent a similar item of equipment.

- (2) We will also pay for direct physical loss of or damage to the rented item of equipment caused by or resulting from a Covered Cause of Loss. Coverage will start when you

assume liability for the rented item of equipment and will end when the Rental Costs coverage under this Coverage Extension ends. We will also pay for direct physical loss of or damage to the rented item of equipment caused by or resulting from a Covered Cause of Loss while the item is in transit to or from the owner if you are liable for the item at the time of loss or damage.

The most we will pay in any one occurrence under this Coverage Extension for loss of or damage to the rented item is the amount for which you are liable, not to exceed the replacement cost of that property.

Any payment under this Coverage Extension for such direct physical loss or damage is included within and will not increase the Rental Costs Limit Of Insurance.

g. Upgrades To Covered Equipment

You may extend the insurance provided by this Coverage Form to apply to direct physical loss or damage by a Covered Cause of Loss to upgrades made to covered items of equipment during the policy period after submitting the most recent schedule of Covered Property. You must have documentation for the increased value of any upgrades made.

The Upgrades To Covered Property Limit Of Insurance shown in the Supplemental Declarations is the most we will pay for improvements made to any one item of equipment in any one occurrence under this Coverage Extension.

5. Additional Coverages

Each of the following Additional Coverages applies unless Not Covered is indicated in the Supplemental Declarations.

a. Claim Data Expense

(1) We will pay the reasonable expenses you incur in preparing claim data when we require it to adjust a covered loss. This includes the cost of taking inventories, making appraisals and preparing other documentation to show the extent of loss.

(2) We will not pay for:

- (a) Any expenses incurred, directed, or billed by or payable to attorneys, insurance adjusters or their associates or subsidiaries;
- (b) Any costs as provided in the Appraisal LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS; or
- (c) Any expenses incurred, directed or billed by or payable to insurance brokers or agents, or their associates or subsidiaries, without our written consent prior to such expenses being incurred.

The Claim Data Expense Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Additional Coverage.

b. Continuing Rental Payments

In the event of covered loss to leased or rented equipment, we will pay the continuing rental payments you are obligated to pay under a written contract or agreement for such equipment until such time as the equipment can be repaired or replaced.

The applicable Continuing Rental Payments Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Additional Coverage.

c. Contract Penalty

If you agreed in writing prior to loss to pay penalties as a result of your failure to meet completion times within the terms of a written contract, we will pay such penalties you incur when the failure to meet the completion times is solely due to direct physical loss of or damage to Covered Property caused by or resulting from a Covered Cause of Loss.

The Contract Penalty Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Additional Coverage

d. Debris Removal

(1) We will pay your expense to remove debris of Covered Property caused by or resulting from a Covered

Cause of Loss that occurs during the policy period.

The amount we will pay includes the increased costs you incur to divert debris of Covered Property to recycling facilities rather than landfills. Any income or remuneration derived from this recycling will reduce the amount of debris removal expense we would have otherwise paid.

The expenses will be paid only if they are reported to us in writing within 180 days of the date of direct physical loss or damage.

This Additional Coverage does not apply to costs to:

- (a) Extract "pollutants" from land or water; or
 - (b) Remove, restore or replace polluted land or water.
- (2) The most we will pay in any one occurrence under this Additional Coverage for your expense to remove the debris of Covered Property is 25% of:
- (a) The amount we pay for the direct physical loss of or damage to Covered Property; plus
 - (b) The Deductible in this Coverage Form applicable to that loss or damage.

Except as provided in Paragraph (3) below, payment under this Additional Coverage is included within and will not increase the applicable Limit Of Insurance.

- (3) If:
- (a) Your expense to remove debris of Covered Property exceeds the 25% limitation in Paragraph (2) above; or
 - (b) The sum of the amount we pay for loss of or damage to Covered Property and the expense for removal of its debris exceeds the applicable Limit Of Insurance;

we will pay up to the Debris Removal Increased Limit Of Insurance shown in the Supplemental Declarations.

e. Employee Tools, Equipment And Clothing

We will pay for direct physical loss of or damage to portable tools, equipment and clothing owned and used by your employees in your business. The loss or damage must be caused by or result from a Covered Cause of Loss that occurs while such property is being used in your business, including while in or on a motor vehicle used in your business.

The applicable Employee Tools, Equipment And Clothing Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Additional Coverage.

f. Errors Or Unintentional Omissions

If an item of equipment is not covered under this Coverage Form due solely to your error or unintentional omission in failing to include the item, describing the item or describing the location of where the item is physically located, we will extend the insurance provided by this Coverage Form to apply to direct physical loss of or damage to such item caused by or resulting from a Covered Cause of Loss. Any such error must be reported and corrected when discovered. We will charge you additional premium.

The Errors Or Unintentional Omissions Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Additional Coverage.

g. Expediting Expenses

In the event of covered loss to Covered Property, we will pay for the reasonable and necessary additional expenses you incur to make temporary repairs to, or expedite the permanent repairs or replacement of Covered Property sustaining loss or damage. Expediting expenses include overtime wages and the extra cost of express or other expedited means of transportation. Expediting expenses do not include expenses you incur for the temporary rental of equipment or temporary replacement of damaged equipment.

The Expediting Expenses Limit Of Insurance shown in the Supplemental

Declarations is the most we will pay in any one occurrence under this Additional Coverage.

h. Expendable Supplies

We will pay for direct physical loss or damage by a Covered Cause of Loss to expendable supplies, meaning consumable and periodic maintenance items held exclusively for the servicing of Covered Property, including fluids, oil, grease, fuel, filters, spark plugs, spare parts, cleaning supplies and other types of consumable service and maintenance items.

The Expendable Supplies Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Additional Coverage.

i. Fire Or Police Department Service Charge

We will pay your liability for fire, police or other public emergency service department charges when such public emergency services are called to save or protect Covered Property from a Covered Cause of Loss. Such emergency service department charges must be:

- (1) Assumed by contract or agreement prior to loss or damage; or
- (2) Required by local ordinance.

The Fire Or Police Department Service Charge Limit Of Insurance shown in the Supplemental Declarations is the most we will pay in any one occurrence under this Additional Coverage.

No deductible applies to this Additional Coverage.

j. Lost Warranty Or Service Contract

- (1) If Covered Property is protected by an extended warranty or a maintenance or service contract; and
- (2) That warranty or contract becomes void or unusable due to a Covered Cause of Loss to such property;

we will reimburse you for the prorated amount of the unused costs of nonrefundable or nontransferable warranties or contracts.

The Lost Warranty Or Service Contract Limit Of Insurance shown in the

Supplemental Declarations is the most we will pay in any one occurrence under this Additional Coverage.

k. Pollutant Clean Up and Removal

We will pay your expense to extract "pollutants" from land or water if the discharge, dispersal, seepage, migration, release or escape of the "pollutants" is caused by or results from any of the "specified causes of loss" that occurs to Covered Property during the policy period.

The expenses will be paid only if they are reported to us within 180 days of the date on which the covered "specified cause of loss" occurs.

This Additional Coverage does not apply to costs to test for, monitor or assess the existence, concentration or effects of "pollutants". But we will pay for testing which is performed in the course of extracting the "pollutants" from the land or water.

The Pollutant Clean Up and Removal Limit Of Insurance shown in the Supplemental Declarations is the most we will pay under this Additional Coverage for the sum of all covered expenses arising out of all "specified causes of loss" occurring during each separate 12 month period of this policy, beginning with the effective date of the policy.

l. Preservation Of Property

If it is necessary to move Covered Property to preserve it from the threat of imminent loss or damage by a Covered Cause of Loss, we will pay for:

- (1) The reasonable and necessary expenses actually incurred by you to remove the Covered Property, temporarily store the Covered Property at another location and move the Covered Property back to the location from which it was moved within a reasonable time after the threat of imminent loss or damage to the property by the Covered Cause of Loss passes.
 - (a) The Preservation Of Property Expense Limit Of Insurance shown in the Supplemental Declarations is the most we will

pay for the sum of all such expenses that you incur due to the threat of loss or damage from any one occurrence.

- (b) This Coverage is subject to the deductible that applies to loss or damage to the Covered Property by the Covered Cause of Loss from which the property is being preserved.
- (2) Any direct physical loss of or damage to the Covered Property while it is being moved, while temporarily stored at another location or while being moved back to the location from which it was moved.

This coverage will only apply if the loss or damage occurs within 90 days after the Covered Property is first moved and will end when either of the following first occurs:

- (a) The property is returned to the location from which it was moved; or
- (b) The policy expires or is cancelled.

The most we will pay in any one occurrence for direct physical loss of or damage to the Covered Property is the Limit of Insurance applicable to the moved property. Any payment under this Additional Coverage for such direct physical loss or damage is included within and will not increase such limit.

m. Reward Coverage

We will reimburse you for reward expenses you have incurred leading to:

- (1) The successful return of undamaged stolen Covered Property to a law enforcement agency; or
- (2) The arrest and conviction of any person who has damaged or stolen any Covered Property.

We will pay 25% of the covered loss, prior to the application of any Deductible and recovery, up to the Reward Coverage Limit Of Insurance shown in the Supplemental Declarations in any one occurrence for the reward payments you make. These reward payments must be documented.

No Deductible applies to this Additional Coverage.

n. Tracking System Deductible Waiver

In the event of theft of Covered Property equipped with a wireless equipment locator or tracking system, we will waive the applicable deductible in any one occurrence up to the Tracking System Deductible Waiver amount shown in the Supplemental Declarations if, prior to the theft, you have maintained the system, its source of operating power and service contracts in accordance with the manufacturer's recommendations. You must promptly report the theft to the police and any monitoring or tracking service and activate the locator or tracking system.

B. EXCLUSIONS

- 1. We will not pay for loss or damage caused directly or indirectly by any of the following. Such loss or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss or damage. These exclusions apply whether or not the loss event results in widespread damage or affects a substantial area.

a. Governmental Action

Seizure or destruction of property by order of governmental authority. But we will pay for loss or damage caused by or resulting from acts of destruction ordered by governmental authority and taken at the time of a fire to prevent its spread if the fire would be covered under this Coverage Form.

b. Nuclear Hazard

Nuclear reaction or radiation, or radioactive contamination, however caused.

But if nuclear reaction or radiation, or radioactive contamination results in fire, we will pay for the loss or damage caused by that fire.

c. War and Military Action

- (1) War, including undeclared or civil war;
- (2) Warlike action by a military force, including action in hindering or defending against an actual or expected attack, by any government,

- sovereign or other authority using military personnel or other agents; or
- (3) Insurrection, rebellion, revolution, usurped power, or action taken by governmental authority in hindering or defending against any of these.
2. We will not pay for loss or damage caused by or resulting from any of the following:
- a. Consequential Loss**
- (1) Delay, loss of use or loss of market; or
- (2) Loss of business income or extra expense, except as specifically provided in this Coverage Part.
- b. Dishonesty**
- Dishonest or criminal act by you, any of your partners, members, officers, managers, employees (including leased employees), directors, trustees, authorized representatives or anyone to whom you entrust the property for any purpose:
- (1) Acting alone or in collusion with others; or
- (2) Whether or not occurring during the hours of employment.
- This exclusion does not apply to acts of destruction by your employees (including leased employees), but theft by employees is not covered.
- This exclusion does not apply to carriers for hire.
- c. Pollution**
- Discharge, dispersal, seepage, migration, release or escape of "pollutants" unless the discharge, dispersal, seepage, migration, release or escape is itself caused by any of the "specified causes of loss".
- But if the discharge, dispersal, seepage, migration, release or escape of "pollutants" results in any of the "specified causes of loss", we will pay for the loss or damage caused by such "specified causes of loss".
3. We will not pay for loss or damage caused by or resulting from any of the following. But if an excluded cause of loss that is listed below results in a Covered Cause of Loss, we will pay for the loss or damage caused by that Covered Cause of Loss.

- a. Weather conditions.** But this exclusion only applies if weather conditions contribute in any way with a cause or event excluded in B.1. above to produce the loss or damage.
- b. Electrical Damage or Disturbance**
- Artificially generated electrical, magnetic or electromagnetic energy that damages, disturbs or otherwise interferes with any:
- (1) Electrical or electronic wire, device, appliance, system or network; or
- (2) Device, appliance, system or network utilizing cellular or satellite technology.
- Electrical, magnetic or electromagnetic energy includes:
- (a) Electrical current, including arcing;
- (b) Electrical charge produced or conducted by a magnetic or electromagnetic field;
- (c) Pulse of electromagnetic energy; and
- (d) Electromagnetic waves or microwaves.
- c. Mechanical Breakdown**
- Mechanical breakdown or failure, including rupture or bursting caused by centrifugal force.
- d. Other Types of Losses**
- (1) Wear and tear.
- (2) Rust, or other corrosion, decay, deterioration, hidden or latent defect or any quality in property that causes it to damage or destroy itself.
- (3) Changes in or extremes of temperature.
- e. Work Upon The Property**
- Any repair process or work upon the Covered Property.

C. LIMITS OF INSURANCE

1. Limit of Insurance

The most we will pay for loss or damage in any one occurrence is the applicable Limit of Insurance shown in the Declarations, Schedule(s), Coverage Form or Endorsement(s).

2. Annual Aggregate Limit of Insurance

When an Annual Aggregate Limit is shown in the Declarations, Schedule(s), Coverage

Form or Endorsement(s), the applicable Annual Aggregate Limit of Insurance shown is the most we will pay for the total of all loss or damage in a 12 month period of this policy (beginning with the effective date of this policy).

3. In the event coverage for loss or damage is provided under the Coverage Extensions or Additional Coverages, the Limits of Insurance stated within the specific Coverage Extension or Additional Coverage will apply as additional amounts of insurance, unless otherwise stated within the Coverage Extension or Additional Coverage.

D. DEDUCTIBLE

1. Dollar Deductible

When a dollar (\$) amount is shown as the applicable Deductible, we will not pay for loss or damage in any one occurrence until the amount of the adjusted loss or damage exceeds the applicable Deductible shown in the Declarations, Deductible Schedule, Coverage Form(s) or Endorsement(s). We will then pay the amount of the adjusted loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

2. Percentage Deductible

When a percentage (%) is shown as the applicable Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage by:

- a. The value of property owned by you that has sustained loss or damage; or
- b. If property of others, the value of such property as agreed by you and the owner of the property prior to any loss or damage.

We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds such calculated dollar amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount.

3. The applicable Deductible shown in the Declarations, Deductible Schedule, Coverage Form(s) or Endorsement(s) applies to the Coverage Extensions and Additional Coverages unless otherwise stated in the Coverage Extension or Additional Coverage.

4. Unless otherwise stated, if more than one Deductible amount applies to loss or damage in any one occurrence, the total of the deductible amounts applied in that occurrence will not exceed the amount of the largest applicable Deductible.

E. ADDITIONAL CONDITIONS

The following conditions apply in addition to the COMMERCIAL INLAND MARINE CONDITIONS and the COMMON POLICY CONDITIONS.

1. Coinsurance

If a Coinsurance percentage is shown in the Declarations, the following condition applies:

We will not pay the full amount of any loss or damage if the value of Covered Property at the time of loss or damage multiplied by the Coinsurance percentage shown in the Declarations is greater than the Limit of Insurance for the property.

Instead, we will determine the most we will pay using the following steps:

Step 1: Multiply the value of Covered Property at the time of loss or damage by the Coinsurance percentage;

Step 2: Divide the Limit of Insurance of the property by the figure determined in Step 1;

Step 3: Multiply the total amount of covered loss or damage, before the application of any deductible, by the figure determined in Step 2; and

Step 4: Subtract the deductible from the figure determined in Step 3.

We will pay the amount determined in Step 4 or the Limit of Insurance, whichever is less. For the remainder, you will either have to rely on other insurance or absorb the loss yourself.

The Coinsurance Additional Condition applies only to Scheduled Items.

2. Coverage Territory

- a. We cover property wherever located within:

- (1) The United States of America (including its territories and possessions);
- (2) Puerto Rico; or
- (3) Canada.

- b. We also cover property being shipped by air within and between points in Paragraph a. above.

3. Loss Payment

The following are added to the Loss Payment LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS:

- a. In the event of loss or damage covered by this Coverage Form, at our option we will either:
 - (1) Pay the cost of reasonably restoring the property to its condition immediately before loss or damage;
 - (2) Pay the value of the lost or damaged property; or
 - (3) Take all or any part of the property at an agreed or appraised value.

We will determine the value of lost or damaged property, or the cost of restoring such property, in accordance with the applicable terms of the Valuation ADDITIONAL CONDITION in this Coverage Form or any applicable provision which amends or supersedes such Condition.
- b. At our option, we may make a partial payment toward any claim, subject to the policy provisions and our normal adjustment process. Any applicable policy deductibles must be satisfied before any partial payments are made.

4. Premium Adjustment

If Premium Adjustment is indicated as applying in the Declarations, the following conditions apply:

a. Reports

Within 30 days after the end of the Premium Adjustment Period shown in the Declarations, you must report the applicable Premium Base outlined below for each type of Covered Property to us in writing.

- (1) **Scheduled And Unscheduled Owned Equipment:**
The Premium Base is the applicable value of all Covered Property at the end of the Premium Adjustment Period.
- (2) **Equipment Leased Or Rented From Others:**
The Premium Base is your actual expenditures incurred (paid and owed) to lease or rent items of

equipment from others during the Premium Adjustment Period.

b. Premium Computation and Adjustment

Your Inception Premium is computed using the applicable Rate shown in the Declarations and the applicable Premium Base at inception of this policy. Your Inception Premium will be adjusted at the end the Premium Adjustment Period as follows:

(1) Scheduled And Unscheduled Owned Equipment:

The difference between the Premium Base used to calculate the Inception Premium and the Premium Base reported to us for the adjustment period will be multiplied by the applicable Adjustment Rate to determine any additional premium or return premium.

(2) Equipment Leased Or Rented From Others:

The difference between the Premium Base used to calculate the Inception Premium and the Premium Base reported to us for the adjustment period will be multiplied by the applicable Adjustment Rate to determine any additional premium or return premium.

c. Cancellation

If this policy is cancelled, you will report your Premium Base for the Covered Property from the inception date, or the last Premium Adjustment Period, up to and as of the date of cancellation.

d. Records

You must keep accurate records of transactions used to develop the Premium Base required for Premium Adjustment.

5. Valuation

The Valuation GENERAL CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS is replaced by the following:

Valuation

In the event of loss or damage, the value of Covered Property will be determined as of the time of loss or damage.

a. Scheduled And Unscheduled Owned Equipment

Unless an Optional Valuation is indicated in the Declarations, the value of Scheduled And Unscheduled Owned Equipment will be the least of the following amounts:

- (1) The Actual Cash Value of the equipment. But in the event of partial loss or damage, not exceeding 20% of the Limit Of Insurance applicable to the equipment, no depreciation will be applied in the settlement of the claim;
- (2) The value shown for the equipment on the latest schedule of Covered Property that you submitted;
- (3) The cost of reasonably restoring the equipment to its condition immediately before loss or damage; or

But if a Scheduled Item describes a group of items of equipment by general type, category or location, the value of any one item of equipment will be determined as described above for the item of equipment sustaining loss or damage, not to exceed the Limit Of Insurance applying to such group of equipment.

b. Equipment Owned By Others

The value of Covered Property owned by others will be the amount for which you are liable, not to exceed the replacement cost of that property.

c. Optional Valuations

(1) Replacement Cost

When indicated by an 'X' in the Declarations, Replacement Cost (without deduction for depreciation) replaces Actual Cash Value in the Valuation and Coinsurance provisions of this Coverage Form with respect to applicable equipment.

You may make a claim for loss or damage covered by this insurance on an actual cash value basis instead of on a replacement cost basis. In the event you elect to have the loss or damage settled on an actual cash value basis, you may still make a claim on a replacement cost basis if you notify us of your intent to do so

within 180 days after the covered loss.

We will not pay for loss or damage on a replacement cost basis:

- (a) Until the lost or damaged equipment is actually repaired or replaced; and
- (b) Unless the repairs or replacement are made as soon as reasonably possible after the covered loss.

We will not pay more for loss or damage on a replacement cost basis than the least of:

- (i) The value shown for that equipment on the latest Schedule of Covered Property that you submitted.
- (ii) The Limit Of Insurance applicable to the lost or damaged equipment.
- (iii) The cost to replace the lost or damaged equipment with other equipment:
 - i. Of comparable function and capacity; and
 - ii. Used for the same purpose.

(2) Valuation Determined By Age Of The Property

When indicated by an 'X' in the Declarations, Scheduled and Unscheduled Owned Equipment will be valued on the basis of the date of manufacture of the item of equipment sustaining loss or damage as follows:

- (a) Replacement Cost (without deduction for depreciation) will apply to items of equipment manufactured up to the number of years indicated in the Declarations; and
- (b) Actual Cash Value will apply to items of equipment manufactured over the number of years indicated in the Declarations.

(3) Agreed Value

When indicated by an 'X' in the Declarations, the following applies with respect to Scheduled Equipment described in the latest Schedule of

Covered Property that you submitted to us:

- (a) The Coinsurance provision of this Coverage Form is deleted with respect to individually Scheduled Items of equipment; and
- (b) The value of such equipment will be the least of the following:
 - (i) The applicable Limit Of Insurance shown in the Declarations, Schedule or Endorsement for that equipment; or
 - (ii) The amount shown for the equipment on the latest Schedule of Covered Property that you submitted to us.

6. Minimum Earned Premium

If a Minimum Earned Premium is shown in the Declarations, such premium is the least amount of premium you must pay when the actual earned premium for this coverage is less than the Minimum Earned Premium.

The Minimum Earned Premium does not apply if we cancel coverage other than at your request.

7. Reinstatement Of Limit After Loss

The Reinstatement Of Limit After Loss LOSS CONDITION in the COMMERCIAL INLAND MARINE CONDITIONS is replaced by the following:

Reinstatement Of Limit After Loss

With the exception of any applicable Annual Aggregate Limit Of Insurance, the Limit Of Insurance will not be reduced by the payment of any claim.

F. DEFINITIONS

- 1. **"Pollutants"** means any solid, liquid, gaseous or thermal irritant or contaminant, including smoke, vapor, soot, fumes, acids, alkalis, chemicals, waste and any unhealthful or hazardous building materials (including asbestos and lead products or materials containing lead). Waste includes materials to be recycled, reconditioned or reclaimed.

- 2. **"Sinkhole collapse"** means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite.

This cause of loss does not include:

- a. The cost of filling sinkholes; or
- b. Sinking or collapse of land into man made underground cavities.

- 3. **"Specified causes of loss"** means the following: Fire; lightning; explosion; windstorm or hail; smoke (including the emission or puff back of smoke, soot, fumes or vapors from a boiler, furnace or related equipment); aircraft or vehicles; riot or civil commotion; vandalism; leakage from fire extinguishing equipment; "sinkhole collapse"; volcanic action; falling objects as limited below; weight of snow, ice or sleet; "water damage", all only as otherwise insured against in this Coverage Form.

Falling objects does not include loss or damage to:

- a. Personal property in the open; or
- b. Property inside a building or structure, unless the roof or an exterior wall of the building or structure is first damaged by a falling object.

- 4. **"Water damage"** means:

- a. Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of a plumbing, heating, air conditioning or other system or appliance (other than a sump system including its related equipment and parts) that is located on the premises at which the Covered Property is located and contains water or steam; and
- b. Accidental discharge or leakage of water as the direct result of the breaking apart or cracking of a water or sewer pipe that is located off the premises at which the Covered Property is located, if the breakage or cracking is caused by wear and tear.

This provision serves as an exception to the wear and tear exclusion under the Other Types of Losses Exclusion in Section B – EXCLUSIONS, Part 3.d.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

FLOOD DEDUCTIBLE

This endorsement modifies insurance provided under the following:

CONTRACTORS EQUIPMENT COVERAGE FORM

A. Flood Deductible

The applicable Flood Deductible shown in the Deductible Schedule and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "flood". This Deductible applies separately to each occurrence of "flood".

B. The following Definition is added to Section F – DEFINITIONS:

"Flood" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

1. Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether driven by wind (including storm surge) or not;
2. Mudslide or mudflow;
3. Water or sewage that backs up or overflows

or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment. However, this does not apply to the backup or overflow of water or sewage from drains within a building if the backup or overflow is not otherwise directly or indirectly caused by Paragraphs 1. or 2. above or by Paragraphs 4. or 5. below.

4. Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings; or
5. Waterborne material carried or otherwise moved by any of the water referred to in Paragraphs 1., 3. and 4. above, or material carried or otherwise moved by mudslide or mudflow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

FLOOD LIMITATION - DESCRIBED PROPERTY OR LOCATIONS

This endorsement modifies insurance provided under the following:

CONTRACTORS EQUIPMENT COVERAGE FORM

A. Schedule Of Described Property Or Locations:

	Flood Occurrence Limit Of Insurance:	Flood Annual Aggregate Limit Of Insurance:
ALL COVERED PROPERTY	\$ 581,283	\$ 581,283
	\$	\$
	\$	\$
	\$	\$
	\$	\$

B. Flood Deductible:

See Declarations or elsewhere in this policy.

C. The following is added to Section C – LIMITS OF INSURANCE:

Flood Limit Of Insurance

The applicable Limit of Insurance shown in the Schedule of Described Property or Locations is the most we will pay for loss of or damage to Covered Property described, or to Covered Property while at the locations described, in the Schedule of Described Property or Locations caused by or resulting from "flood".

1. All "flood" loss that occurs:

- a. During a continuous or protracted event, such as a period of continued rising or overflow of any river(s), stream(s) or any body(ies) of water and the subsidence of same within the banks of such river(s), stream(s) or body(ies) of water; or

- b. Due to any tidal wave or series of tidal waves that occur within any 168 hour period;

will constitute a single "flood" occurrence. If "flood" loss commences prior to the expiration date of this policy and the "flood" occurrence extends beyond the expiration date of this policy, the expiration date of this policy will not reduce the "flood" occurrence period. But we will not pay for loss or damage caused by or resulting from any "flood" occurrence that begins before the inception of this insurance.

2. The limits of insurance shown in the Schedule of Described Property or Locations does not apply to, or modify, any limits that apply to the insurance otherwise provided under the Coverage Forms shown above for loss or damage by fire, explosion or sprinkler leakage that results from "flood".

3. The applicable Flood Limit of Insurance shown in the Schedule of Described Property or Locations above is the most we will pay for "flood", including "business income", "extra expense" or any other time element coverages. Amounts payable under any Additional Coverage or Coverage Extension do not increase the applicable Flood Limit of Insurance. The applicable Limit is part of, and does not increase, the Limit of Insurance that otherwise applies under this Coverage Form.
- D. The following Definition is added to Section F - DEFINITIONS:
- "Flood"** means any of the following, all whether naturally occurring or due to man-made or other artificial causes:
1. Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether driven by wind (including storm surge) or not;
 2. Mudslide or mudflow;
 3. Water or sewage that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment. However, this does not apply to the backup or overflow of water or sewage from drains within a building if the backup or overflow is not otherwise directly or indirectly caused by Paragraphs 1. or 2. above or by Paragraphs 4. or 5. below.
 4. Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings; or
 5. Waterborne material carried or otherwise moved by any of the water referred to in Paragraphs 1., 3. and 4. above, or material carried or otherwise moved by mudslide or mudflow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EARTH MOVEMENT DEDUCTIBLE

This endorsement modifies insurance provided under the following:

CONTRACTORS EQUIPMENT COVERAGE FORM

A. Earth Movement Deductible

The applicable Earth Movement Deductible shown in the Deductible Schedule and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "earth movement". This Deductible applies separately to each occurrence of "earth movement" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

B. The following Definition is added to Section F – DEFINITIONS:

"Earth Movement" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

1. Earthquake, including tremors and aftershocks, and earth sinking, rising or shifting related to such event;

2. Landslide, including any earth sinking, rising or shifting related to such event;
3. Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;
4. Earth sinking (other than "sinkhole collapse"), rising, or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface; or
5. Volcanic eruption, explosion or effusion.

All "earth movement" described in Paragraphs 1. through 5. above that occurs within any 168-hour period will constitute a single "earth movement".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EARTH MOVEMENT LIMITATION – DESCRIBED PROPERTY OR LOCATIONS

This endorsement modifies insurance provided under the following:
CONTRACTORS EQUIPMENT COVERAGE FORM

A. Schedule Of Described Property Or Locations:	Earth Movement Occurrence Limit Of Insurance:	Earth Movement Annual Aggregate Limit Of Insurance:
ALL COVERED PROPERTY	\$ 581,283	\$ 581,283
	\$	\$
	\$	\$
	\$	\$
	\$	\$

B. Earth Movement Deductible

See Declarations or elsewhere in this policy.

C. The following is added to Section C – LIMITS OF INSURANCE:

Earth Movement Limit Of Insurance

1. The applicable Limit of Insurance shown in the Schedule of Described Property or Locations is the most we will pay for loss of or damage to Covered Property described, or to Covered Property while at the locations described, in the Schedule of Described Property or Locations caused by or resulting from "earth movement".

2. The Limits of Insurance shown in the Schedule of Described Property or Locations do not apply to, or modify, any limits of insurance that apply to the coverage otherwise provided under this Coverage Form for loss or damage by:

- a. Fire or explosion that results from "earth movement" other than volcanic eruption, explosion or effusion; or
- b. Fire, building glass breakage or "volcanic action" that results from volcanic eruption, explosion or effusion.

3. Earth Movement Occurrence Limit of Insurance

The applicable Earth Movement Occurrence Limit of Insurance shown in the Schedule of Described Property or Locations is the most we will pay in any one occurrence of "earth movement". Amounts payable under any Additional Coverage or Coverage Extension do not increase the applicable Earth Movement Occurrence Limit of Insurance. The applicable Earth Movement Occurrence Limit is part of, and does not increase, the Limit of Insurance that otherwise applies under this Coverage Form.

4. Earth Movement Annual Aggregate Limit of Insurance

The applicable Earth Movement Annual Aggregate Limit shown in the Schedule above is the most we will pay for the total of all loss or damage caused by or resulting from "earth movement" in a 12 month period of this policy (beginning with the effective date of this policy).

D. The following is added to Section D – DEDUCTIBLE:

The applicable Earth Movement Deductible shown in the Declarations or elsewhere in this policy and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "earth movement". This Deductible applies separately to each occurrence of "earth movement" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

1. Percentage Deductible

When a percentage (%) is shown in the Declarations or elsewhere in this policy as the applicable Earth Movement Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence of "earth movement" until the amount of loss or damage exceeds such calculated dollar amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown in the Schedule of Described Property or Locations.

2. Dollar Deductible

When a dollar amount is shown in the Declarations or elsewhere in this policy as the applicable Earth Movement Deductible, we will not pay for loss or damage in any one occurrence of "earth movement" until the amount of loss or damage exceeds the applicable Earth Movement Deductible. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

3. The applicable Earth Movement Deductible does not apply to or modify any Deductibles that apply to the coverage otherwise provided under this Coverage Form for loss or damage by:

- a. Fire or explosion that results from "earth movement" other than volcanic eruption, explosion or effusion; or
- b. Fire, building glass breakage or "volcanic action" that results from volcanic eruption, explosion or effusion.

E. The following Definitions are added to Section F - DEFINITIONS:

1. "Earth Movement" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

- a. Earthquake, including tremors and aftershocks, and earth sinking, rising or shifting related to such event;
- b. Landslide, including any earth sinking, rising or shifting related to such event;
- c. Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;
- d. Earth sinking (other than "sinkhole collapse"), rising, or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface; or
- e. Volcanic eruption, explosion or effusion

All "earth movement" described in Paragraphs a. through e. above that occurs within any 168-hour period will constitute a single "earth movement". The expiration of this policy will not reduce the 168-hour period. But we will not pay for loss or damage caused by or resulting from any "earth movement" that begins before the inception of this insurance.

2. **“Volcanic Action”** means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:
 - a. Airborne volcanic blast or airborne shock waves;
 - b. Ash, dust or particulate matter; or
 - c. Lava flow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ELECTRONIC VANDALISM LIMITATION AND OTHER CHANGES

This endorsement modifies insurance provided under the following:

COMMERCIAL INLAND MARINE COVERAGE PART

SCHEDULE

Electronic Vandalism Limit of Insurance,

aggregate in any 12-month period of this policy: **\$ 10,000** unless a higher limit is shown: \$

This endorsement restricts the insurance provided under this Coverage Part for direct physical loss or damage caused by or resulting from "electronic vandalism" and for loss that is a consequence of such direct physical loss or damage.

A. LIMITATION – ELECTRONIC VANDALISM

The following LIMITATION is added:

The most we will pay for all loss or damage caused directly or indirectly by or resulting from "electronic vandalism" in any one policy year, commencing with the inception date of this endorsement, is the Electronic Vandalism Limit of Insurance shown in the Schedule of this endorsement. This Electronic Vandalism Limit of Insurance applies regardless of the number of locations, items or types of property or coverages or Coverage Forms involved, and is part of, and does not increase the Limits of Insurance provided under this policy. If an Electronic Vandalism Limit of Insurance applies under any Property Coverage Part or Businessowners Property Coverage Special Form of this policy, the Electronic Vandalism Limit of Insurance under this Coverage Part is included in, and does not increase, the Electronic Vandalism Limit of Insurance under that Property Coverage Part or Businessowners Property Coverage Special Form.

But if "electronic vandalism" results in:

1. A "specified cause of loss", other than vandalism that is "electronic vandalism"; or
2. Theft under the Fine Art And Collectibles Coverage Form, Museum Coverage Form, Fine Art Dealer Coverage Form or any other similar fine art collector, conservator, dealer or museum coverage form;

this Limitation will not apply to the resulting loss or damage caused by that "specified cause of loss" or theft.

This Limitation does not create coverage for any loss or damage that would not otherwise be covered under this Coverage Part.

B. UTILITY SERVICES AND SPOILAGE - ELECTRONIC VANDALISM CHANGES

1. The following replaces any Utility Services exclusion:

Utility Services

The failure or fluctuation of power, communication, water or other utility service supplied to the described premises, however caused, if the failure or fluctuation:

- (1) Originates away from the described premises; or
- (2) Originates at the described premises, but only if such failure or fluctuation involves equipment used to supply the utility service to the described premises from a source away from the described premises.

Failure or fluctuation of any utility service includes lack of sufficient capacity and reduction in supply. Communication services include service relating to Internet access or access to any electronic, cellular or satellite network.

Exceptions:

- (1) If the failure or fluctuation of power, communication, water or other utility service results in a Covered Cause of Loss, other than "electronic vandalism", this exclusion does not apply to the loss

or damage caused by that Covered Cause of Loss.

- (2) This exclusion does not apply to the insurance provided under any Utility Service – Direct Damage, Utility Service – Time Element or Spoilage coverage for loss or damage caused by the failure or fluctuation of power, communication, water or other utility service supplied to the described premises when the failure or fluctuation:

- (a) Originates away from the described premises; or
- (b) Originates at the described premises and involves equipment used to supply the utility service to the described premises from a source away from the described premises.

But all other Exclusions and Limitations applicable to this Coverage Part, including the "Electronic Vandalism" Limitation in Section A. above and the below exclusions applicable to Utility Services and Spoilage coverages, continue to apply to such loss or damage to which these Exceptions apply.

2. Under any:

- a. Utility Services – Direct Damage;
- b. Utility Services – Time Element; and
- c. Spoilage;

coverage provided under this Coverage Part the following exclusion is added:

We will not pay for loss or damage caused directly or indirectly by "electronic vandalism". This exclusion applies regardless of any other cause or event that contributes concurrently or in any sequence to the loss. This exclusion applies whether or not the loss event results in widespread damage or affects a substantial area.

C. ELECTRONIC VANDALISM MINIMUM DEDUCTIBLE

The following deductible provision is added and applies to all coverages, including Extra Expense:

The DEDUCTIBLE provisions of this Coverage Part continue to apply. But in no event will the total of all applicable deductible amounts applied in any one occurrence of "electronic vandalism" to which insurance under this Coverage Part applies be less than \$1,000.

D. ELECTRONIC VANDALISM AND SPECIFIED CAUSES OF LOSS DEFINITIONS

The following is added to any DEFINITIONS Section:

"Electronic Vandalism" means:

- a. Willful or malicious destruction of computer programs, content, instructions or other electronic or digital data stored within computer systems.
- b. Unauthorized computer code or programming that:
 - (1) Deletes, distorts, corrupts or manipulates computer programs, content, instructions or other electronic or digital data, or otherwise results in damage to computers or computer systems or networks to which it is introduced;
 - (2) Replicates itself, impairing the performance of computers or computer systems or networks;
 - (3) Gains remote control access to data and programming within computers or computer systems or networks to which it is introduced, for uses other than those intended for authorized users of the computers or computer systems or networks; or
 - (4) Introduces a virus, harmful code or similar instruction into or enacted on a computer system (including electronic data) or a network to which it is connected, designed to damage or destroy any part of the system or disrupt its normal operation.
- c. Any other unauthorized access to or use of computers or computer systems or networks, including data and programming within such computers or computer systems or networks.
- d. A denial of service attack that restricts, prevents or disrupts access to or use of any computer, computer system or network, or otherwise disrupts the normal functioning or operation of any computer, computer system or network.

"Specified Cause of Loss", if not defined in the applicable Coverage Form, means:

Fire; lightning; explosion; windstorm or hail; smoke (including the emission or puff back of smoke, soot, fumes or vapors from a boiler, furnace or related equipment); aircraft or vehicles; riot or civil commotion; vandalism;

leakage from fire extinguishing equipment; "sinkhole collapse"; volcanic action; falling objects as limited below; weight of snow, ice or sleet; "water damage", all only as otherwise insured against in the Coverage Form.

Falling objects does not include loss or damage to:

- a. Personal property in the open; or
- b. The interior of a building or structure, or property inside a building or structure, unless the roof or an exterior wall of the building or structure is first damaged by a falling object.

"Sinkhole collapse" means the sudden sinking or collapse of land into underground empty spaces created by the action of water on limestone or dolomite. "Sinkhole collapse" does not mean the cost of filling sinkholes or the sinking or collapse of land into man-made underground cavities.

"Water damage" means:

- a. Accidental discharge or leakage of water or steam as the direct result of the breaking apart or cracking of a plumbing, heating, air conditioning or other system or appliance (other than a sump system including its related equipment and parts) that contains water or steam and is at a location listed in the applicable Location Schedule; and
- b. Accidental discharge or leakage of water as the direct result of the breaking apart or cracking of a water or sewer pipe that is located off a location listed in the applicable Location Schedule, if the breakage or cracking is caused by wear and tear. This provision serves as an exception to any wear and tear exclusion. But water damage does not include loss or damage that otherwise may be excluded under the terms of a Water or Flood Exclusion.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

FEDERAL TERRORISM RISK INSURANCE ACT DISCLOSURE

This endorsement modifies insurance provided under the following:

COMMERCIAL INLAND MARINE COVERAGE PART

The federal Terrorism Risk Insurance Act of 2002 as amended ("TRIA") establishes a program under which the Federal Government may partially reimburse "Insured Losses" (as defined in TRIA) caused by "Acts Of Terrorism" (as defined in TRIA). "Act Of Terrorism" is defined in Section 102(1) of TRIA to mean any act that is certified by the Secretary of the Treasury – in consultation with the Secretary of Homeland Security and the Attorney General of the United States – to be an act of terrorism; to be a violent act or an act that is dangerous to human life, property, or infrastructure; to have resulted in damage within the United States, or outside the United States in the case of certain air carriers or vessels or the premises of a United States Mission; and to have been committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

The Federal Government's share of compensation for such Insured Losses is 80% of the amount of such Insured Losses in excess of each Insurer's "Insurer

Deductible" (as defined in TRIA), subject to the "Program Trigger" (as defined in TRIA).

In no event, however, will the Federal Government be required to pay any portion of the amount of such Insured Losses occurring in a calendar year that in the aggregate exceeds \$100 billion, nor will any Insurer be required to pay any portion of such amount provided that such Insurer has met its Insurer Deductible. Therefore, if such Insured Losses occurring in a calendar year exceed \$100 billion in the aggregate, the amount of any payments by the Federal Government and any coverage provided by this policy for losses caused by Acts Of Terrorism may be reduced.

The charge for such Insured Losses under this Coverage Part is included in the Coverage Part premium. The charge for such Insured Losses that has been included for this Coverage Part is indicated below, and does not include any charge for the portion of such Insured Losses covered by the Federal Government under TRIA:

- 1% of your total Commercial Inland Marine Coverage Part premium.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**EARTH MOVEMENT LIMITATION – DESCRIBED
PROPERTY OR LOCATIONS**

This endorsement modifies insurance provided under the following:

FINE ART AND COLLECTIBLES COVERAGE FORM

A. Schedule of Described Property or Locations:	Earth Movement Occurrence Limit Of Insurance:	Earth Movement Annual Aggregate Limit Of Insurance:
ALL COVERED PROPERTY	\$ 1,000,000	\$ 1,000,000
	\$	\$
	\$	\$
	\$	\$
	\$	\$

B. Earth Movement Deductible

Deductible applying to Earth Movement as indicated by an 'X' below:

☒ **Dollar Deductible:** \$ 25,000☐ **Percent Deductible:** % subject to
\$ minimum and
\$ maximum**C. The following is added to Section C – LIMITS OF INSURANCE:****Earth Movement Limit Of Insurance**

- The applicable Limit of Insurance shown in the Schedule of Described Property or Locations is the most we will pay for loss of or damage to Covered Property described, or to Covered Property while at the locations described, in the Schedule of Described Property or Locations caused by or resulting from "earth movement".
- The Limits of Insurance shown in the Schedule of Described Property or Locations do not apply to, or modify, any limits of insurance that apply to the coverage otherwise provided

under this Coverage Form for loss or damage by:

- Fire or explosion that results from "earth movement" other than volcanic eruption, explosion or effusion; or
- Fire, building glass breakage or "volcanic action" that results from volcanic eruption, explosion or effusion.

3. Earth Movement Occurrence Limit of Insurance

The applicable Earth Movement Occurrence Limit of Insurance shown in the Schedule of Described Property or Locations is the most we will pay in any one occurrence of "earth movement". Amounts payable under any Additional Coverage or Coverage Extension do not increase the applicable Earth Movement Occurrence Limit of Insurance. The applicable Earth Movement Occurrence Limit is part of, and does not increase, the Limit of Insurance that otherwise applies under this Coverage Form.

4. Earth Movement Annual Aggregate Limit of Insurance

The applicable Earth Movement Annual Aggregate Limit shown in the Schedule above is the most we will pay for the total of all loss or damage caused by or resulting from "earth movement" in a 12 month period of this policy (beginning with the effective date of this policy).

D. The following is added to Section D – DEDUCTIBLE:

The applicable Earth Movement Deductible shown above and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "earth movement". This Deductible applies separately to each occurrence of "earth movement" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

1. Percentage Deductible

When a percentage (%) is shown above as the applicable Earth Movement Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence of "earth movement" until the amount of loss or damage exceeds such calculated dollar amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown above.

2. Dollar Deductible

When a dollar amount is shown in as the applicable Earth Movement Deductible, we will not pay for loss or damage in any one occurrence of "earth movement" until the amount of loss or damage exceeds the applicable Earth Movement Deductible shown above. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

3. The Deductibles shown above do not apply to or modify any Deductibles that apply to the

coverage otherwise provided under this Coverage Form for loss or damage by:

- a. Fire or explosion that results from "earth movement" other than volcanic eruption, explosion or effusion; or
- b. Fire, building glass breakage or "volcanic action" that results from volcanic eruption, explosion or effusion.

E. The following Definitions are added to Section F - DEFINITIONS:

1. "Earth Movement" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

- a. Earthquake, including tremors and after-shocks, and earth sinking, rising or shifting related to such event;
- b. Landslide, including any earth sinking, rising or shifting related to such event;
- c. Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;
- d. Earth sinking (other than "sinkhole collapse"), rising, or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface; or
- e. Volcanic eruption, explosion or effusion.

All "earth movement" described in Paragraphs a. through e. above that occurs within any 168-hour period will constitute a single "earth movement". The expiration of this policy will not reduce the 168-hour period. But we will not pay for loss or damage caused by or resulting from any "earth movement" that begins before the inception of this insurance.

2. "Volcanic Action" means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

- a. Airborne volcanic blast or airborne shock waves;
- b. Ash, dust or particulate matter; or
- c. Lava flow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**FLOOD LIMITATION – DESCRIBED
PROPERTY OR LOCATIONS**

This endorsement modifies insurance provided under the following:

FINE ART AND COLLECTIBLES COVERAGE FORM

A. Schedule of Described Property or Locations:	Flood Occurrence Limit Of Insurance:	Flood Annual Aggregate Limit Of Insurance:
ALL COVERED PROPERTY	\$ 1,000,000	\$ 1,000,000
	\$	\$
	\$	\$
	\$	\$
	\$	\$

B. Flood Deductible

Deductible applying to Flood as indicated by an 'X' below:

☒ **Dollar Deductible:** \$ 25,000☐ **Percent Deductible:** % subject to
\$ minimum and
\$ maximum**C. The following is added to Section C – LIMITS OF INSURANCE:****Flood Limit Of Insurance**

The applicable Limit of Insurance shown in the Schedule of Described Property or Locations is the most we will pay for loss of or damage to Covered Property described, or to Covered Property while at the locations described, in the Schedule of Described Property or Locations caused caused by or resulting from "flood".

1. All "flood" loss that occurs:

- a. During a continuous or protracted event, such as a period of continued rising or overflow of any river(s), stream(s) or any body(ies) of water and the subsidence of same within the banks of such river(s), stream(s) or body(ies) of water; or

- b. Due to any tidal wave or series of tidal waves that occur within any 168 hour period;

will constitute a single "flood" occurrence. If "flood" loss commences prior to the expiration date of this policy and the "flood" occurrence extends beyond the expiration date of this policy, the expiration date of this policy will not reduce the "flood" occurrence period. But we will not pay for loss or damage caused by or resulting from any "flood" occurrence that begins before the inception of this insurance.

2. The limits of insurance shown in the Schedule of Described Property or Locations does not apply to, or modify, any limits that apply to the insurance otherwise provided under the Coverage Form shown above for loss or damage by fire, explosion or sprinkler leakage that results from "flood".

3. Flood Occurrence Limit of Insurance

The applicable Flood Occurrence Limit of Insurance shown in the Schedule of Described Property or Locations above is the most we will pay in any one occurrence of "flood". Amounts payable under any Additional Coverage or Coverage Extension do not increase

the applicable Flood Occurrence Limit of Insurance. The applicable Occurrence Limit is part of, and does not increase, the Limit of Insurance that otherwise applies under this Coverage Form.

4. Flood Annual Aggregate Limit of Insurance

The applicable Flood Annual Aggregate Limit shown in the Schedule of Described Property or Locations above is the most we will pay for the total of all loss or damage caused by or resulting from "flood" in a 12 month period of this policy (beginning with the effective date of this policy).

D. The following is added to Section D – DEDUCTIBLE:

The applicable Flood Deductible shown above and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from flood. This Deductible applies separately to each occurrence of "flood" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

1. Percentage Deductible

When a percentage (%) is shown above as the applicable Flood Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence of "flood" until the amount of loss or damage exceeds such calculated dollar amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown above.

2. Dollar Deductible

When a dollar amount is shown as the applicable Flood Deductible, we will not pay for loss or damage in any one occurrence of

"flood" until the amount of loss or damage exceeds the applicable Flood Deductible shown above. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

3. The deductibles shown above do not apply to, or modify, any deductibles that apply to the coverage otherwise provided under the Coverage Form shown above for loss or damage by fire, explosion or sprinkler leakage that results from "flood".

E. The following Definition is added to Section F – DEFINITIONS:

"Flood" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

1. Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether driven by wind (including storm surge) or not;
2. Mudslide or mudflow;
3. Water or sewage that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment. However, this does not apply to the backup or overflow of water or sewage from drains within a building if the backup or overflow is not otherwise directly or indirectly caused by Paragraphs 1. or 2. above or by Paragraphs 4. or 5. below.
4. Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings; or
5. Waterborne material carried or otherwise moved by any of the water referred to in Paragraphs 1., 3. and 4. above, or material carried or otherwise moved by mudslide or mudflow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EARTH MOVEMENT DEDUCTIBLE

This endorsement modifies insurance provided under the following:

FINE ART AND COLLECTIBLES COVERAGE FORM

A. Earth Movement Deductible

Deductible applying to Earth Movement as indicated by an 'X' below:

☒ **Dollar Deductible:** \$ 25,000

☐ **Percent Deductible:** % subject to
\$ minimum and
\$ maximum

The applicable Earth Movement Deductible shown above and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "earth movement". This Deductible applies separately to each occurrence of "earth movement" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

B. Dollar Deductible

When a dollar amount is shown as the applicable Earth Movement Deductible, we will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the applicable Earth Movement Deductible shown above. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

C. Percentage Deductible

1. When a percentage (%) is shown as the applicable Earth Movement Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown above by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds such calculated dollar

amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

2. In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown above.

D. The following Definition is added to Section F – DEFINITIONS:

"Earth Movement" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

1. Earthquake, including tremors and aftershocks, and earth sinking, rising or shifting related to such event;
2. Landslide, including any earth sinking, rising or shifting related to such event;
3. Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;
4. Earth sinking (other than "sinkhole collapse"), rising, or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface; or
5. Volcanic eruption, explosion or effusion.

All "earth movement" described in Paragraphs 1. through 5. above that occurs within any 168-hour period will constitute a single "earth movement".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

FLOOD DEDUCTIBLE

This endorsement modifies insurance provided under the following:

FINE ART AND COLLECTIBLES COVERAGE FORM

The Flood Deductible shown in the Declarations and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "flood". This Deductible applies separately to each occurrence of "flood" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

A. Dollar Deductible

When a dollar amount is shown as the applicable Flood Deductible, we will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the applicable Flood Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

B. Percentage Deductible

1. When a percentage (%) is shown as the applicable Flood Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown in the Declarations by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds such calculated dollar amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.
2. In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown in the Declarations.

C. The following Definition is added to Section F – DEFINITIONS:

"Flood" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

1. Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether driven by wind (including storm surge) or not;
2. Mudslide or mudflow;
3. Water or sewage that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment. However, this does not apply to the backup or overflow of water or sewage from drains within a building if the backup or overflow is not otherwise directly or indirectly caused by Paragraphs 1. or 2. above or by Paragraphs 4. or 5. below.
4. Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings; or
5. Waterborne material carried or otherwise moved by any of the water referred to in Paragraphs 1., 3. and 4. above, or material carried or otherwise moved by mudslide or mudflow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EARTH MOVEMENT DEDUCTIBLE

This endorsement modifies insurance provided under the following:

MISCELLANEOUS PROPERTY COVERAGE FORM

A. Earth Movement Deductible

Deductible applying to Earth Movement as indicated by an 'X' below w:

☒ **Dollar Deductible:** \$ 25,000

☐ **Percent Deductible:** % subject to
\$ minimum and
\$ maximum

The applicable Earth Movement Deductible shown above and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "earth movement". This Deductible applies separately to each occurrence of "earth movement" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

B. Dollar Deductible

When a dollar amount is shown as the applicable Earth Movement Deductible, we will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the applicable Earth Movement Deductible shown above. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

C. Percentage Deductible

1. When a percentage (%) is shown as the applicable Earth Movement Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown above by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds such calculated dollar

amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

2. In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown above.

D. The following Definition is added to Section F – DEFINITIONS:

"Earth Movement" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

1. Earthquake, including tremors and aftershocks, and earth sinking, rising or shifting related to such event;
2. Landslide, including any earth sinking, rising or shifting related to such event;
3. Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;
4. Earth sinking (other than "sinkhole collapse"), rising, or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface; or
5. Volcanic eruption, explosion or effusion.

All "earth movement" described in Paragraphs 1. through 5. above that occurs within any 168-hour period will constitute a single "earth movement".

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**EARTH MOVEMENT LIMITATION – DESCRIBED
PROPERTY OR LOCATIONS**

This endorsement modifies insurance provided under the following:

MISCELLANEOUS PROPERTY COVERAGE FORM

A. Schedule

Described Property or Locations	Earth Movement Occurrence Limit Of Insurance:	Earth Movement Annual Aggregate Limit Of Insurance:
ALL COVERED PROPERTY	\$ 1,610,473	\$ 1,610,473
	\$	\$
	\$	\$
	\$	\$
	\$	\$

B. Earth Movement Deductible

Deductible applying to Earth Movement as indicated by an 'X' below:

☒ **Dollar Deductible:** \$ 25,000☐ **Percent Deductible:** % subject to
\$ minimum and
\$ maximum**C. The following is added to Section C – LIMITS OF INSURANCE:****Earth Movement Limit Of Insurance**

- The applicable Limit of Insurance shown in the Schedule above is the most we will pay for loss of or damage to Covered Property described, or to Covered Property while at the locations described, in the Schedule above caused by or resulting from "earth movement".
- The Limits of Insurance shown in the Schedule above do not apply to, or modify, any limits of insurance that apply to the coverage otherwise provided under this Coverage Form for loss or damage by:

- Fire or explosion that results from "earth movement" other than volcanic eruption, explosion or effusion; or
- Fire, building glass breakage or "volcanic action" that results from volcanic eruption, explosion or effusion.

3. Earth Movement Occurrence Limit of Insurance

The applicable Earth Movement Occurrence Limit of Insurance shown in the Schedule above is the most we will pay in any one occurrence of "earth movement". Amounts payable under any Additional Coverage or Coverage Extension do not increase the applicable Earth Movement Occurrence Limit of Insurance. The applicable Earth Movement Occurrence Limit is part of, and does not increase, the Limit of Insurance that otherwise applies under this Coverage Form.

4. Earth Movement Annual Aggregate Limit of Insurance

The applicable Earth Movement Annual Aggregate Limit shown in the Schedule above is

the most we will pay for the total of all loss or damage caused by or resulting from "earth movement" in a 12 month period of this policy (beginning with the effective date of this policy).

D. The following is added to Section D – DEDUCTIBLE:

The applicable Earth Movement Deductible shown above and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "earth movement". This Deductible applies separately to each occurrence of "earth movement" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

1. Percentage Deductible

When a percentage (%) is shown above as the applicable Earth Movement Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence of "earth movement" until the amount of loss or damage exceeds such calculated dollar amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown above.

2. Dollar Deductible

When a dollar amount is shown in as the applicable Earth Movement Deductible, we will not pay for loss or damage in any one occurrence of "earth movement" until the amount of loss or damage exceeds the applicable Earth Movement Deductible shown above. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

3. The Deductibles shown above do not apply to or modify any Deductibles that apply to the coverage otherwise provided under this Coverage Form for loss or damage by:

- a. Fire or explosion that results from "earth movement" other than volcanic eruption, explosion or effusion; or
- b. Fire, building glass breakage or "volcanic action" that results from volcanic eruption, explosion or effusion.

E. The following Definitions are added to Section F – DEFINITIONS:

1. "Earth Movement" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

- a. Earthquake, including tremors and aftershocks, and earth sinking, rising or shifting related to such event;
- b. Landslide, including any earth sinking, rising or shifting related to such event;
- c. Mine subsidence, meaning subsidence of a man-made mine, whether or not mining activity has ceased;
- d. Earth sinking (other than "sinkhole collapse"), rising, or shifting including soil conditions which cause settling, cracking or other disarrangement of foundations or other parts of realty. Soil conditions include contraction, expansion, freezing, thawing, erosion, improperly compacted soil and the action of water under the ground surface; or
- e. Volcanic eruption, explosion or effusion.

All "earth movement" described in Paragraphs a. through e. above that occurs within any 168-hour period will constitute a single "earth movement". The expiration of this policy will not reduce the 168-hour period. But we will not pay for loss or damage caused by or resulting from any "earth movement" that begins before the inception of this insurance.

2. "Volcanic Action" means direct loss or damage resulting from the eruption of a volcano when the loss or damage is caused by:

- a. Airborne volcanic blast or airborne shock waves;
- b. Ash, dust or particulate matter; or
- c. Lava flow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

FLOOD DEDUCTIBLE

This endorsement modifies insurance provided under the following:

MISCELLANEOUS PROPERTY COVERAGE FORM

The Flood Deductible shown in the Declarations and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from "flood". This Deductible applies separately to each occurrence of "flood" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

A. Dollar Deductible

When a dollar amount is shown as the applicable Flood Deductible, we will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds the applicable Flood Deductible shown in the Declarations. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

B. Percentage Deductible

1. When a percentage (%) is shown as the applicable Flood Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown in the Declarations by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence until the amount of loss or damage exceeds such calculated dollar amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.
2. In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown in the Declarations.

C. The following Definition is added to Section F – DEFINITIONS:

"Flood" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

1. Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether driven by wind (including storm surge) or not;
2. Mudslide or mudflow;
3. Water or sewage that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment. However, this does not apply to the backup or overflow of water or sewage from drains within a building if the backup or overflow is not otherwise directly or indirectly caused by Paragraphs 1. or 2. above or by Paragraphs 4. or 5. below.
4. Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings; or
5. Waterborne material carried or otherwise moved by any of the water referred to in Paragraphs 1., 3. and 4. above, or material carried or otherwise moved by mudslide or mudflow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

**FLOOD LIMITATION – DESCRIBED
PROPERTY OR LOCATIONS**This endorsement modifies insurance provided under the following:
MISCELLANEOUS PROPERTY COVERAGE FORM**A. Schedule**

Described Property or Locations	Flood Occurrence Limit Of Insurance:	Flood Annual Aggregate Limit Of Insurance:
ALL COVERED PROPERTY	\$ 1,610,473	\$ 1,610,473
	\$	\$
	\$	\$
	\$	\$
	\$	\$

B. Flood Deductible

Deductible applying to Flood as indicated by an 'X' below:

☒ **Dollar Deductible:** \$ 25,000☐ **Percent Deductible:** % subject to
\$ minimum and
\$ maximum**C. The following is added to Section C – LIMITS OF INSURANCE:****Flood Limit Of Insurance**

The applicable Limit of Insurance shown in the Schedule above is the most we will pay for loss of or damage to Covered Property described, or to Covered Property while at the locations described, in the Schedule above caused by or resulting from "flood".

1. All "flood" loss that occurs:

- a. During a continuous or protracted event, such as a period of continued rising or overflow of any river(s), stream(s) or any

body(ies) of water and the subsidence of same within the banks of such river(s), stream(s) or body(ies) of water; or

- b. Due to any tidal wave or series of tidal waves that occur within any 168 hour period;

will constitute a single "flood" occurrence. If "flood" loss commences prior to the expiration date of this policy and the "flood" occurrence extends beyond the expiration date of this policy, the expiration date of this policy will not reduce the "flood" occurrence period. But we will not pay for loss or damage caused by or resulting from any "flood" occurrence that begins before the inception of this insurance.

2. The Limits of Insurance shown in the Schedule above does not apply to, or modify, any limits that apply to the insurance otherwise provided under the Coverage Form shown above for loss or damage by fire, explosion or sprinkler leakage that results from "flood".

3. Flood Occurrence Limit of Insurance

The applicable Flood Occurrence Limit of Insurance shown in the Schedule above is the most we will pay in any one occurrence of "flood". Amounts payable under any Additional Coverage or Coverage Extension do not increase the applicable Flood Occurrence Limit of Insurance. The applicable Occurrence Limit is part of, and does not increase, the Limit of Insurance that otherwise applies under this Coverage Form.

4. Flood Annual Aggregate Limit of Insurance

The applicable Flood Annual Aggregate Limit shown in the Schedule above is the most we will pay for the total of all loss or damage caused by or resulting from "flood" in a 12 month period of this policy (beginning with the effective date of this policy).

D. The following is added to Section D – DEDUCTIBLE:

The applicable Flood Deductible shown above and set forth in this endorsement applies to direct physical loss or damage caused by or resulting from flood. This Deductible applies separately to each occurrence of "flood" and applies in addition to any other Deductibles in this Coverage Form that apply to loss or damage in the same occurrence.

1. Percentage Deductible

When a percentage (%) is shown above as the applicable Flood Deductible, we will calculate the dollar amount of the Deductible by multiplying the applicable percentage shown by the value of the property that has sustained loss or damage. We will not pay for loss or damage in any one occurrence of "flood" until the amount of loss or damage exceeds such calculated dollar amount. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

In no event will the applicable Deductible be less than any applicable minimum, or more than any applicable maximum, amount shown above.

2. Dollar Deductible

When a dollar amount is shown as the applicable Flood Deductible, we will not pay for loss or damage in any one occurrence of "flood" until the amount of loss or damage exceeds the applicable Flood Deductible shown above. We will then pay the amount of loss or damage in excess of the Deductible, up to the applicable Limit of Insurance.

3. The deductibles shown above do not apply to, or modify, any deductibles that apply to the coverage otherwise provided under the Coverage Form shown above for loss or damage by fire, explosion or sprinkler leakage that results from "flood".

E. The following Definition is added to Section F – DEFINITIONS:

"Flood" means any of the following, all whether naturally occurring or due to man-made or other artificial causes:

1. Flood, surface water, waves (including tidal wave and tsunami), tides, tidal water, overflow of any body of water, or spray from any of these, all whether driven by wind (including storm surge) or not;
2. Mudslide or mudflow;
3. Water or sewage that backs up or overflows or is otherwise discharged from a sewer, drain, sump, sump pump or related equipment. However, this does not apply to the backup or overflow of water or sewage from drains within a building if the backup or overflow is not otherwise directly or indirectly caused by Paragraphs 1. or 2. above or by Paragraphs 4. or 5. below.
4. Water under the ground surface pressing on, or flowing or seeping through:
 - (a) Foundations, walls, floors or paved surfaces;
 - (b) Basements, whether paved or not; or
 - (c) Doors, windows or other openings; or
5. Waterborne material carried or otherwise moved by any of the water referred to in Paragraphs 1., 3. and 4. above, or material carried or otherwise moved by mudslide or mudflow.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

DIGITAL ASSETS EXCLUSIONS – DIGITAL CURRENCY AND NON-FUNGIBLE TOKENS

This endorsement modifies insurance provided under the following:

COMMERCIAL INLAND MARINE COVERAGE PART

A. The following is added to any **Property Not Covered** Section of any Inland Marine Coverage Form: Covered Property also does not include:

(1) Any "digital currency"; or

(2) Any "non-fungible token".

B. The following is added to any definition of "money", "securities" and "fine arts": This definition does not include:

(1) Any "digital currency"; or

(2) Any "non-fungible token".

C. The following exclusion is added to any **EXCLUSIONS** section of any Inland Marine Coverage Form that provides business income or extra expense coverage:

We will not pay for any loss caused by or resulting from loss of or damage to:

(1) Any "digital currency"; or

(2) Any "non-fungible token".

D. The following is added to any **DEFINITIONS** Section of any Inland Marine Coverage Form:

"Digital currency" means any exclusively digital, electronic or virtual currency, including crypto currency, that is a representation of value and may be used as a medium of exchange or held as an investment.

"Non-fungible token" means any unique or semi-unique unit of data, digital file or token or other digital identifier that is recorded in a digital ledger, such as a blockchain.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NORTH CAROLINA CHANGES

This endorsement modifies insurance provided under the following:

COMMERCIAL INLAND MARINE COVERAGE PART

A. Warranties

Wherever the words "warrants", "warranties", "warranted", or "warranty" appear in this Coverage Part, you and we agree that they are representations.

B. Protective Safeguards

The **Protective Safeguards** Additional Condition is replaced by the following:

You must maintain the protective safeguards stated by you to be in effect at a location when this coverage began.

You must notify us immediately when you fail to keep the protective safeguards:

1. In working condition at a location; and
2. In operation when you are closed to business.

C. General Condition C. Legal Action Against Us in the Commercial Inland Marine Conditions is replaced by the following:

C. Legal Action Against Us

No one may bring a legal action against us under this Coverage Part unless:

1. There has been full compliance with all the terms of this Coverage Part; and
2. The action is brought within three years after you first have knowledge of the direct loss or damage.

D. The following condition is added:

Time Period For Performance Of Contractual Obligations

Whenever a state of disaster is proclaimed for the state of North Carolina or for an area within this state in accordance with state law, or whenever a major disaster is declared for North Carolina or an area within this state by the President of the United States under the Stafford Act or its successors, the following provisions apply:

1. If the Covered Property that has sustained loss or damage is located within the designated area in the disaster declaration or proclamation, the time period for your submission of a proof of loss (as set forth in the Duties In The Event Of Loss Condition or in an endorsement attached to this Coverage Part) shall be extended by a time period not exceeding the earlier of:
 - a. The expiration of the disaster proclamation or declaration and all renewals of the proclamation; or
 - b. The expiration of the Insurance Commissioner's order declaring action for the specific disaster.

2. Except as otherwise provided in Paragraphs 1. and 4., the following applies if you or we reside in or are located in the designated area in the disaster declaration or proclamation:

If this Coverage Part or an endorsement attached to this Coverage Part imposes a time limitation on you or us for a performance of:

- a. A premium or debt payment; or
- b. Any other duty or any act (including transmittal of information and communications),

under the terms of this Coverage Part and such performance would be required during the time period prior to the expiration of the Insurance Commissioner's order declaring action for the specific disaster, your performance and our performance is subject to a deferral period of 30 days. The Commissioner of Insurance may extend such deferral period.

3. In addition to Paragraphs 1. and 2. above, if you have been displaced from your residence:

- a. Any written notice of cancellation for nonpayment of premium scheduled to be effective after the deferral period has commenced is deferred. Following the expiration of the deferral period, we may cancel for nonpayment of premium subject to the notice requirements in the Cancellation Condition of this Coverage Part.
 - b. Any written notice of nonrenewal scheduled to be effective after the deferral period has commenced is deferred. Following the expiration of the deferral period, we may elect not to renew this policy subject to the notice requirements in the Nonrenewal Condition of this Coverage Part.
- 4. If the proclamation or declaration is the result of a public health emergency as determined by the Secretary of the U.S. Department of Health and Human Services, or other situations where the Governor has, by executive order, ordered all individuals in North Carolina to stay at home or at their

place of residence, the following provisions shall apply:

- a. If you reside within the designated area in the proclamation or declaration, you have the option to defer premium payments that are due during the time period covered by the Commissioner's order declaring the specific public health emergency or situation that may require the citizens of North Carolina to shelter in place. The deferral period shall be 30 days from the last day the premium payment may be made under the terms of the policy. The Commissioner of Insurance may extend such deferral period.
 - b. Any written notice of cancellation for nonpayment of premium scheduled to be effective after the deferral period has commenced is deferred. Following the expiration of the deferral period, we may cancel for nonpayment of premium subject to the notice requirements in the Cancellation Condition of this Coverage Part.

**INTERLINE
ENDORSEMENTS**

**INTERLINE
ENDORSEMENTS**

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ACTUAL CASH VALUE

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
DELUXE PROPERTY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART
TRAVELERS PROPERTY COVERAGE PART

The following definition is added to any Definitions Section and applies to any provision that uses the term actual cash value:

Actual cash value means the value of the covered property at the time of loss or damage.

When calculating actual cash value using the estimated cost to repair or replace such property, with a reasonable deduction for depreciation that occurred before such loss or damage, we may apply depreciation to all components of the estimated cost, including the following:

- a. Materials;
- b. Labor;
- c. Overhead and profit; and
- d. Any applicable tax.

The deduction for depreciation may include such considerations as:

- a. Age;
- b. Condition, such as wear and tear or deterioration;
- c. Reduction in useful life; and
- d. Obsolescence.

This definition does not apply to covered property in the following states:

AK AR CA CT GA LA ME MT NY PR VT WA WV WY

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

DESIGNATED PERSON OR ORGANIZATION – NOTICE OF CANCELLATION PROVIDED BY US

This endorsement modifies insurance provided under the following:

ALL COVERAGE PARTS INCLUDED IN THIS POLICY

SCHEDULE

CANCELLATION:

Number of Days Notice:

30

PERSON OR

ORGANIZATION:

FIRST NATIONAL BANK OF PENNSYLVANIA

ISAOA / ATIMA

ADDRESS:

PO BOX 703809

DALLAS

TX

75370-3809

PROVISIONS

If we cancel this policy for any legally permitted reason other than nonpayment of premium, and a number of days is shown for Cancellation in the Schedule above, we will mail notice of cancellation to the person or organization shown in such Schedule. We will mail such notice to the address shown in the Schedule above at least the number of days shown for Cancellation in such Schedule before the effective date of cancellation.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

AMENDMENT OF COMMON POLICY CONDITIONS – PROHIBITED COVERAGE – UNLICENSED INSURANCE AND TRADE OR ECONOMIC SANCTIONS

This endorsement modifies insurance provided under the following:

ALL COVERAGES INCLUDED IN THIS POLICY

The following is added to the Common Policy Conditions:

Prohibited Coverage – Unlicensed Insurance

1. With respect to loss sustained by any insured, or loss to any property, located in a country or jurisdiction in which we are not licensed to provide this insurance, this insurance does not apply to the extent that insuring such loss would violate the laws or regulations of such country or jurisdiction.
2. We do not assume responsibility for:
 - a. The payment of any fine, fee, penalty or other charge that may be imposed on any person or organization in any country or jurisdiction because we are not licensed to provide insurance in such country or jurisdiction; or

- b. The furnishing of certificates or other evidence of insurance in any country or jurisdiction in which we are not licensed to provide insurance.

Prohibited Coverage – Trade Or Economic Sanctions

We will provide coverage for any loss, or otherwise will provide any benefit, only to the extent that providing such coverage or benefit does not expose us or any of our affiliated or parent companies to:

1. Any trade or economic sanction under any law or regulation of the United States of America; or
2. Any other applicable trade or economic sanction, prohibition or restriction.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

CAP ON LOSSES FROM CERTIFIED ACTS OF TERRORISM

This endorsement modifies insurance provided under the following:

BOILER AND MACHINERY COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CYBERFIRST ESSENTIALS GENERAL PROVISIONS FORM
CYBERFIRST GENERAL PROVISIONS FORM
DELUXE PROPERTY COVERAGE PART
EMPLOYEE BENEFITS LIABILITY COVERAGE PART
EMPLOYMENT-RELATED PRACTICES LIABILITY COVERAGE PART
EMPLOYMENT PRACTICES LIABILITY ⁺ WITH IDENTITY FRAUD EXPENSE REIMBURSEMENT
COVERAGE PART
ENVIRONMENTAL HAZARD POLICY
EQUIPMENT BREAKDOWN COVERAGE PART
EXCESS FOLLOW-FORM AND UMBRELLA LIABILITY INSURANCE
EXCESS (FOLLOWING FORM) LIABILITY INSURANCE
LAW ENFORCEMENT LIABILITY COVERAGE PART
LIQUOR LIABILITY COVERAGE PART
MANUFACTURERS ERRORS AND OMISSIONS LIABILITY COVERAGE PART
MEDFIRST PRODUCTS/COMPLETED OPERATIONS, ERRORS AND OMISSIONS, AND
INFORMATION SECURITY LIABILITY COVERAGE FORM
OWNERS AND CONTRACTORS PROTECTIVE LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART
PUBLIC ENTITY MANAGEMENT LIABILITY COVERAGE PART
RAILROAD PROTECTIVE LIABILITY COVERAGE PART
SPECIAL PROTECTIVE AND HIGHWAY LIABILITY POLICY - NEW YORK DEPARTMENT OF
TRANSPORTATION
TRAVELERS PROPERTY COVERAGE PART
TRIBAL BUSINESS MANAGEMENT LIABILITY COVERAGE PART
Any other Coverage Part or Coverage Form included in this policy that is subject to the federal Terrorism
Risk Insurance Act of 2002 as amended

The following is added to this policy. This provision can limit coverage for any loss arising out of a "certified act of terrorism" if such loss is otherwise covered by this policy. This provision does not apply if and to the extent that coverage for the loss is excluded or limited by an exclusion or other coverage limitation for losses arising out of "certified acts of terrorism" in another endorsement to this policy.

If aggregate insured losses attributable to "certified acts of terrorism" exceed \$100 billion in a calendar year and we have met our insurer deductible under "TRIA", we will not be liable for the payment of any portion of the amount of such losses that exceeds \$100 billion, and in such case, insured losses up to that amount are subject to pro rata allocation in accordance with procedures established by the Secretary of the Treasury.

"Certified act of terrorism" means an act that is certified by the Secretary of the Treasury, in accordance with the provisions of "TRIA", to be an act of terrorism pursuant to "TRIA". The criteria contained in "TRIA" for a "certified act of terrorism" include the following:

1. The act resulted in insured losses in excess of \$5 million in the aggregate, attributable to all types of insurance subject to "TRIA"; and
2. The act is a violent act or an act that is dangerous to human life, property or infrastructure and is committed by an individual or individuals as part of an effort to coerce the civilian population of the United States or to influence the policy or affect the conduct of the United States Government by coercion.

"TRIA" means the federal Terrorism Risk Insurance Act of 2002 as amended.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

ADDITIONAL BENEFITS

This endorsement modifies insurance provided under the following:

ALL COVERAGES INCLUDED IN THIS POLICY

The following Condition is added to each Common Policy Conditions included in this policy:

Additional Benefits

1. We may offer or provide, or allow others to provide, you or another insured under this policy with goods and services, access to discounted goods and services, other program benefits or other items of value that could assist your business with managing your risk, with servicing your policy or with staying informed about loss control and mitigation of risk.
2. These Additional Benefits may be provided in any form. You or another insured under this policy may be eligible to receive additional benefits. You
3. While we may arrange for these Additional Benefits, the other provider is liable to you or the other insured for the provision of the goods and services. We do not warrant the merchantability, fitness or quality of any goods or services provided or assume any additional obligation related to any Additional Benefits provided.
4. We have the right to modify or discontinue any Additional Benefits provided by us, or others authorized by us, without notice to you or any other insured.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION OF LOSS DUE TO VIRUS OR BACTERIA

This endorsement modifies insurance provided under the following:

COMMERCIAL PROPERTY COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
FARM COVERAGE PART

- A.** The exclusion set forth in Paragraph **B.** applies to all coverage under all forms and endorsements that comprise this Coverage Part or Policy, including but not limited to forms or endorsements that cover property damage to buildings or personal property and forms or endorsements that cover business income, extra expense, rental value or action of civil authority.
- B.** We will not pay for loss or damage caused by or resulting from any virus, bacterium or other microorganism that induces or is capable of inducing physical distress, illness or disease.
- C.** With respect to any loss or damage subject to the exclusion in Paragraph **B.**, such exclusion supersedes any exclusion relating to "pollutants".
- D.** The terms of the exclusion in Paragraph **B.**, or the inapplicability of this exclusion to a particular loss, do not serve to create coverage for any loss that would otherwise be excluded under this Coverage Part or Policy.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

NORTH CAROLINA CHANGES – CANCELLATION AND NONRENEWAL

This endorsement modifies insurance provided under the following:

CAPITAL ASSETS PROGRAM (OUTPUT POLICY) COVERAGE PART
COMMERCIAL GENERAL LIABILITY COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL LIABILITY UMBRELLA COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART
CRIME AND FIDELITY COVERAGE PART
EMPLOYMENT-RELATED PRACTICES LIABILITY COVERAGE PART
EQUIPMENT BREAKDOWN COVERAGE PART
FARM COVERAGE PART
FARM UMBRELLA LIABILITY POLICY
LIQUOR LIABILITY COVERAGE PART
MEDICAL PROFESSIONAL LIABILITY COVERAGE PART
POLLUTION LIABILITY COVERAGE PART
PRODUCTS/COMPLETED OPERATIONS LIABILITY COVERAGE PART

- A. Paragraph 2. of the **Cancellation** Common Policy Condition is replaced by the following:

2. Cancellation Requirements

a. Policies In Effect Less Than 60 Days

If this policy has been in effect for less than 60 days, we may cancel this policy by mailing or delivering to the first Named Insured written notice of cancellation at least:

- (1) 15 days before the effective date of cancellation if we cancel for nonpayment of premium; or
- (2) 30 days before the effective date of cancellation if we cancel for any other reason.

b. Policies In Effect More Than 60 Days

If this policy has been in effect for 60 days or more, or is a renewal of a policy we issued, we may cancel this policy prior to the:

- (1) Expiration of the policy term; or
- (2) Anniversary date,
stated in the policy only for one or more of the following reasons:

- (a) Nonpayment of premium;

- (b) An act or omission by the insured or his or her representative that constitutes material misrepresentation or nondisclosure of a material fact in obtaining this policy, continuing this policy or presenting a claim under this policy;
- (c) Increased hazard or material change in the risk assumed that could not have been reasonably contemplated by the parties at the time of assumption of the risk;
- (d) Substantial breach of contractual duties, conditions or warranties that materially affects the insurability of the risk;
- (e) A fraudulent act against us by the insured or his or her representative that materially affects the insurability of the risk;
- (f) Willful failure by the insured or his or her representative to institute reasonable loss control measures that materially affect the insurability of the risk after written notice by us;
- (g) Loss of facultative reinsurance, or loss of or substantial changes in

applicable reinsurance as provided in G.S. 58-41-30;

- (h) Conviction of the insured of a crime arising out of acts that materially affect the insurability of the risk;
- (i) A determination by the Commissioner of Insurance that the continuation of the policy would place us in violation of the laws of North Carolina; or
- (j) You fail to meet the requirements contained in our corporate charter, articles of incorporation or by-laws when we are a company organized for the sole purpose of providing members of an organization with insurance coverage in North Carolina.

We will mail or deliver written notice of cancellation to the first Named Insured at least:

- (i) 15 days before the effective date of cancellation if we cancel for nonpayment of premium; or
 - (ii) 30 days before the effective date of cancellation if we cancel for any other reason.
- c. Cancellation for nonpayment of premium will not become effective if you pay the premium amount due before the effective date of cancellation.
 - d. We may also cancel this policy for any reason not stated above provided we obtain your prior written consent.

B. The following provisions are added and supersede any other provisions to the contrary :

1. Nonrenewal

- a. If we elect not to renew this policy, we will mail or deliver to the first Named Insured shown in the Declarations written notice of nonrenewal at least 45 days prior to the:
 - (1) Expiration of the policy if this policy has been written for one year or less; or
 - (2) Anniversary date of the policy if this policy has been written for more than one year or for an indefinite term.
- b. We need not mail or deliver the notice of nonrenewal if you have:
 - (1) Insured property covered under this policy, under any other insurance policy;
 - (2) Accepted replacement coverage; or
 - (3) Requested or agreed to nonrenewal of this policy.
- c. If notice is mailed, proof of mailing will be sufficient proof of notice.

2. The written notice of cancellation or nonrenewal will:

- a. Be mailed or delivered to the first Named Insured and any designated mortgagee or loss payee at their addresses shown in the policy, or if not indicated in the policy, at their last known addresses; and
- b. State the reason or reasons for cancellation or nonrenewal.

THIS ENDORSEMENT CHANGES THE POLICY. PLEASE READ IT CAREFULLY.

EXCLUSION OF CERTAIN COMPUTER-RELATED LOSSES DUE TO DATES OR TIMES

This endorsement modifies insurance provided under the following:

BOILER AND MACHINERY COVERAGE PART
COMMERCIAL CRIME COVERAGE PART
COMMERCIAL INLAND MARINE COVERAGE PART
COMMERCIAL PROPERTY COVERAGE PART

A. We will not pay for loss ("loss") or damage caused directly or indirectly by any of the following. Such loss ("loss") or damage is excluded regardless of any other cause or event that contributes concurrently or in any sequence to the loss ("loss") or damage.

- 1.** The failure, malfunction or inadequacy of:
 - a.** Any of the following, whether belonging to any insured or to others:
 - (1)** Computer hardware, including micro-processors;
 - (2)** Computer application software;
 - (3)** Computer operating systems and related software;
 - (4)** Computer networks;
 - (5)** Microprocessors (computer chips) not part of any computer system; or
 - (6)** Any other computerized or electronic equipment or components; or
 - b.** Any other products, and any services, data or functions that directly or indirectly use or rely upon, in any manner, any of the items listed in Paragraph **A.1.a.** of this endorsement;

due to the inability to correctly recognize, process, distinguish, interpret or accept one or more dates or times. An example is the inability of computer software to recognize the year 2000.

- 2.** Any advice, consultation, design, evaluation, inspection, installation, maintenance, repair,

replacement or supervision provided or done by you or for you to determine, rectify or test for, any potential or actual problems described in Paragraph **A.1.** of this endorsement.

B. If an excluded Cause of Loss as described in Paragraph **A.** of this endorsement results:

- 1.** In a Covered Cause of Loss under the Boiler and Machinery Coverage Part, the Commercial Crime Coverage Part or the Commercial Inland Marine Coverage Part; or
- 2.** Under the Commercial Property Coverage Part:
 - a.** In a "Specified Cause of Loss", in elevator collision resulting from mechanical breakdown, or from theft (if insured) under the Causes of Loss – Special Form; or
 - b.** In a Covered Cause of Loss under the Causes of Loss – Basic Form or the Causes of Loss – Broad Form;

we will pay only for the loss ("loss") or damage caused by such "Specified Cause of Loss", elevator collision, theft, or a Covered Cause of Loss.

C. We will not pay for repair, replacement or modification of any items in Paragraphs **A.1.a.** and **A.1.b.** of this endorsement to correct any deficiencies or change any features.

POLICYHOLDER NOTICES



POLICYHOLDER NOTICES

IMPORTANT NOTICE – INDEPENDENT AGENT AND BROKER COMPENSATION

NO COVERAGE IS PROVIDED BY THIS NOTICE. THIS NOTICE DOES NOT AMEND ANY PROVISION OF YOUR POLICY. YOU SHOULD REVIEW YOUR ENTIRE POLICY CAREFULLY FOR COMPLETE INFORMATION ON THE COVERAGES PROVIDED AND TO DETERMINE YOUR RIGHTS AND DUTIES UNDER YOUR POLICY. PLEASE CONTACT YOUR AGENT OR BROKER IF YOU HAVE ANY QUESTIONS ABOUT THIS NOTICE OR ITS CONTENTS. IF THERE IS ANY CONFLICT BETWEEN YOUR POLICY AND THIS NOTICE, THE PROVISIONS OF YOUR POLICY PREVAIL.

For information about how Travelers compensates independent agents and brokers, please visit www.travelers.com, call our toll-free telephone number 1-866-904-8348, or request a written copy from Marketing at One Tower Square, 2GSA, Hartford, CT 06183.

To Our Valued Customer,

Each year, homeowners and business owners across the nation sustain significant weather-related property damage due to floods. These can include losses caused by waves, tidal waters, the overflow of a body of water, the rapid accumulation or runoff of surface water, and mudslide. In nearly all cases, these flood losses cannot be prevented or even anticipated. And, in many instances, the losses are devastating.

Most standard property insurance policies, including most of our policies, do not provide coverage for flood losses. While flood coverage is often available – primarily through the National Flood Insurance Program – it is rarely purchased. Unfortunately, each year we find that some policyholders are surprised and disappointed to learn that damages they have suffered as a direct result of flood are not covered under the policies they have purchased.

Please review your insurance coverage with your agent or Company representative. As you consider the need for flood insurance, keep in mind that floods can, and do, occur in locations all over the country. They are not limited to coastal areas or locations with nearby rivers or streams. Several inches of rain falling over a short period of time can cause flood damage, even in normally dry areas that are not prone to flooding.

For further information about Flood Insurance, contact your agent or company representative, or contact the National Flood Insurance Program directly.